

EVERCORE ISI

Technology | Semiconductors and Semiconductor Equipment

June 22, 2026

Credo Technology Group Holding Ltd

CRDO | \$249.33

Outperform | Target Price/Base Case: \$325.00

Initiating Coverage

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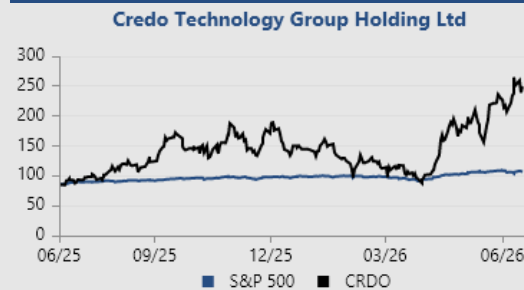
Company Statistics

52-Week Range	\$75.50 - \$270.21
Market Capitalization (M)	\$47,848
Enterprise Value (M)	\$46,430
Dividend Yield	0.0%
Net Cash/Share	\$(7.69)
Shares Outstanding (M)	184

Earnings Summary

	2025	2026E	2027E
Revenue (M)	\$1,068	\$2,224	\$4,080
Cons Revenue (M)	\$1,068	\$2,058	\$3,326
EPS (Calendar)	\$2.61	\$5.60	\$10.48
Consensus Adj EPS	\$2.61	\$5.16	\$8.39

1 Year Price History



Initiating OP: AEC Standard + Emerging Optical AI Connectivity Play

Initiate OP w/ \$325 PT – Copper and Optical AI Connectivity Play.

We initiate CRDO with an OP rating and \$325 price target. Our sense is that Credo is viewed as a copper-based AI-connectivity play, largely because it created the AEC interconnect standard and drove its success by delivering a reliable, systems solution - i.e., whole cable + chips instead of just chips. However, we believe it will be increasingly viewed as a broad copper + optical AI-connectivity play as it prosecutes its optical roadmap, which includes optical DSPs, Silicon Photonics ICs, microLED cables and most importantly its ZFOptics modules, where consistent with its AEC playbook, it is also taking a systems approach. We believe its product roadmap expands its existing \$5bn-\$10bn TAM by 10x-20x. Near-term, we model 100% and 60% growth for its AEC solutions in CY26/27, longer term we think its optical portfolio accelerates late-CY26 and could ramp to 25% of revenues in CY27. We model \$13+ in 2028 EPS, implying 70%+ 3yr earnings CAGR and 40% higher than Street estimates. At 30x our 2028 EPS discounted back, our \$325 PT implies a PEG ratio (30x vs 70% CAGR) of 0.4x.

Expect Continued AEC Market Growth. We view investor concerns of an imminent AEC market peak (as next-gen platforms begin to require 1.6T speeds) as overblown as **1)** the 800G buildout remains in the early to at worst middle innings, **2)** CRDO has demonstrated ability to cater to 1.6T data-rates in several different form-factors up to 6m in reach, **3)** Neocloud AEC opportunity remains early on in its adoption curve and can represent 20% of CRDO revs alone. Moreover, we believe our CPU Renaissance thesis can offer AECs a second strong leg of growth as higher core-count agentic CPUs that demand higher bandwidth connectivity and a DAC-to-AEC upgrade opportunity.

Optical Revs Forecasts Imply a Conservative LSD% Share. Our checks suggest that 800G and 1.6T modules will combine for 160m units by 2027, with growth beyond that. Assuming 200m TAM our \$1.7bn+ in 2028 CRDO Optical revs conservatively assumes sub-2% unit share.

Gross Margin Dilution Minimal as ZF Optics Ramps. Despite first blush view that shift into transceivers should lead to margin profile mixing towards 30% to 40% that module peers generate, BoM analysis considering that DSP, drivers, TIAs, PICs will be internally sourced implies that ZF Optics GM potential sits near the high-end of the company's targeted 63% to 65% range.

Operating Leverage. CRDO has demonstrated strong operating leverage within its business model with EPS growing at a 3-yr CAGR of 188% vs Revenues at 78%. Management forecasts OpEx to grow by 50% vs Revs >80% for FY27. Street models 3yr revs growth CAGR of 57% vs EPS 52% vs our modeled revs +69% and EPS +70% - our earnings leverage assumptions very well may prove to be conservative.

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Initiate CRDO Outperform. AEC Standard + Emerging Optical AI Connectivity Play

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Executive Summary – Durable Growth In Both Copper & Optical

CRDO's success as the creator of, and subsequent dominant player in the AEC market stems from its approach to deliver a vertically integrated solution. Its IP stack runs from SerDes and PAM-4 DSP up through firmware/telemetry software and finished system-level products. FY26 revenues of \$1.34bn, increased by 3x YY and by more than 20x over 5 years since the company came public. CRDO generates 68% Gross Margins and north of 50% Net Margins – offering a rare combination of high growth and high profitability. We view the franchise as differentiated, with its reliability-anchored and vertically-integrated systems approach as real and validated by our checks with AI & Cable Assembly engineers in the industry. We believe the overall investor debate surrounding the durability of AECs is mis-framed as it centers on NPO and CPO proliferation leading to disintermediation. However, the main AEC use-case is in-rack scale-out, whereas the main disintermediation risk from NPO and CPO is centered in the scale-up domain (see [checks](#)). In the meantime, we expect CRDO to extend its scale-out leadership in copper-based AEC's into the optical domain with its ZFOptics portfolio.

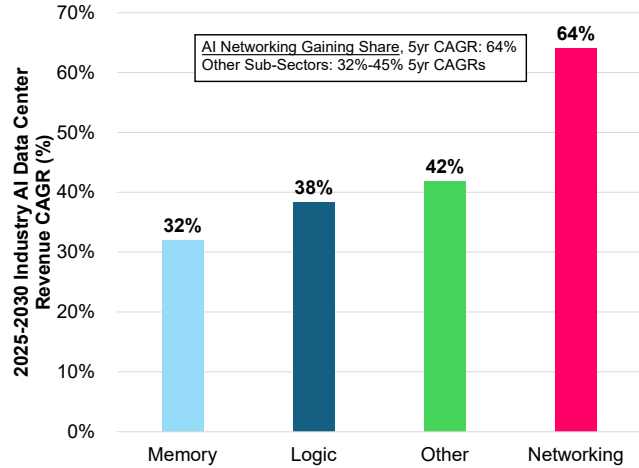
We believe investors win 5 ways w/ CRDO:

- 1. Exposure to Highest Growing Sub-Segment in Data Center Silicon.** Exposure to the highest growing segment of an AI Data Center Semis TAM that is forecasted to expand to \$1.3 Trillion by 2030 vs \$250bn in 2025 – with Networking forecasted to grow at mid-60s% CAGR vs Memory/Logic/Other growth forecasts in Low-30s% to Low-40s% CAGR
- 2. Exposure to Share Gainer Within Networking.** CRDO's share in AI networking has increased from 1% in 2021 to 8% in 2025 and the push into adjacent TAMs within Networking (Optics, ALCs, Gearboxes, Retimers) should enable further share-gains. Thus our 2028 revs estimate of \$5bn may prove conservative despite being ~25% above sell-side consensus, given that it implies 69% 3yr CAGR top line growth in-line with 3yr AI NWing market CAGR forecasts of near 79%.
- 3. Serviceable TAM Set to Increase from \$9bn (AEC Only) to near \$200bn.** 650 Group forecasts the AEC chip TAM to be >\$3.5bn by 2030 and CRDO has highlighted that the TAM including cables is 2x to 3x higher (implying near \$9bn for CRDO). Management has sized the SiPho PIC market at \$6bn by 2030, ALCs as 2x the AEC TAM (implying \$18bn), Gearboxes as multi-billion. Our bottoms-up analysis of the optical pluggables market implies build-plans nearing 200m for 800G and 1.6T alone which at \$650 ASP implies a \$130bn TAM for ZF Optics. On the DSP front, extrapolating 25% growth beyond MRVL's touted Interconnect TAM of \$19bn by 2028 implies closer to \$30bn by 2030. And PCIe retimers offers another \$1.5bn – totaling a near \$200bn TAM (or 20x increase vs AEC only).
- 4. Emerging CPU Renaissance Beneficiary.** We believe agentic-AI creates new demand for CPUs, which will translate to a new bottleneck higher core-count CPUs will be required to manage 1,000s of agentic AI sessions. We expect higher CPU-core density will demand higher NIC speeds, which will ultimately highlight the same bandwidth limitations for passive DAC as seen in hyperscaler and AI clusters. Based on our CPU Renaissance [thesis](#) which implies a CPU unit TAM rising to 75m to 110m in 2030 as CPU to GPU ratios rise to 1:1 or 2:1 from 1:4, and assuming that a large percentage require 50G per lane NIC to ToR connections, this implies a 7m to 30m cabling opportunity that CRDO can pursue (For context, 2030 cable forecast from 650 Group is ~13m).
- 5. Gross Margin Resilience Despite Move into Optical Modules.** Our sense is Street is mis-modeling GMs as core product GMs for AECs are likely set to increase given ASP expansion 1.6T vs 800G (and greater 800G mix more broadly). But more importantly, bottoms-up work supports that CRDO's ZF Optics revenues can generate near high-end of target model (63% to 65%) GM profile given that they will use internal DSP, TIA, driver and Photonic IC.

We see a path to \$13+ in EPS by CY2028 (70% 3yr CAGR) with AECs declining from >80% to ~60% of revenues over the next 3-years despite growing at north of 50% CAGR. We anticipate Optical revenues to represent near 35% of revs (from HSD%) with 75% coming from full ZF Optics modules vs 25% standalone Optical DSPs/PICs. Add in mid-60s% GMs (down modestly over next 3yrs), OpEx growing approximately half the rate of revs (implying OpM expansion to nearly 55% from 45%).

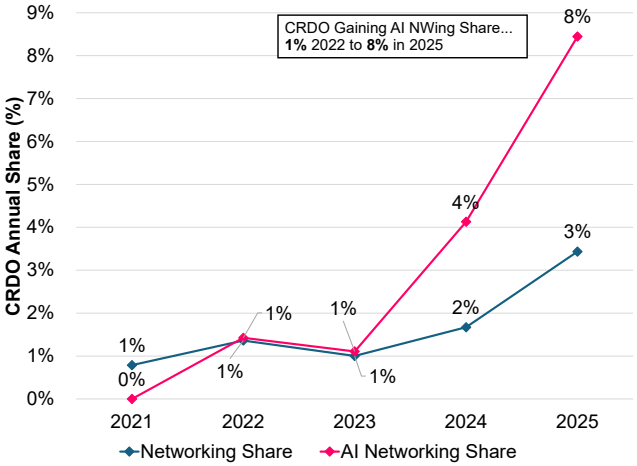
Our \$325 PT assumes 30x our CY2028 EPS of \$13.02 discounted back 2yrs at 10%. This implies a PEG ratio of 0.4x based on 3yr EPS CAGR of 70%.

Figure 1: Networking = Fastest Growing Market in Data Center Silicon TAM



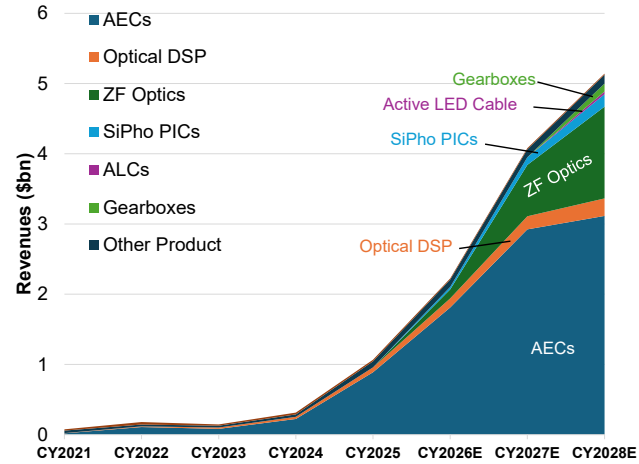
Source: Company Data, Evercore ISI Research, 650 Group

Figure 2: CRDO Gaining Share in AI Networking



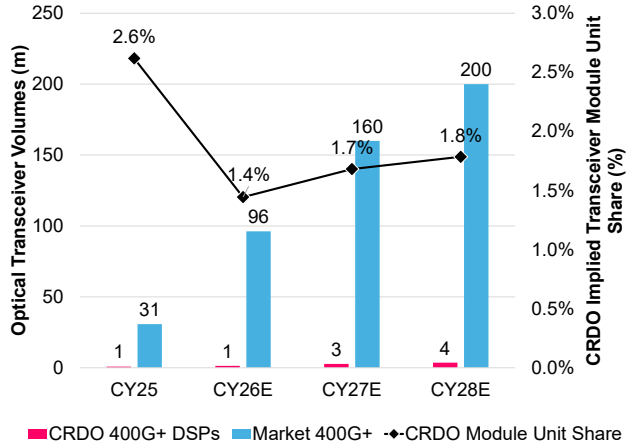
Source: Company Data, Evercore ISI Research, 650 Group

Figure 3: CRDO on Cusp of Diversification Story



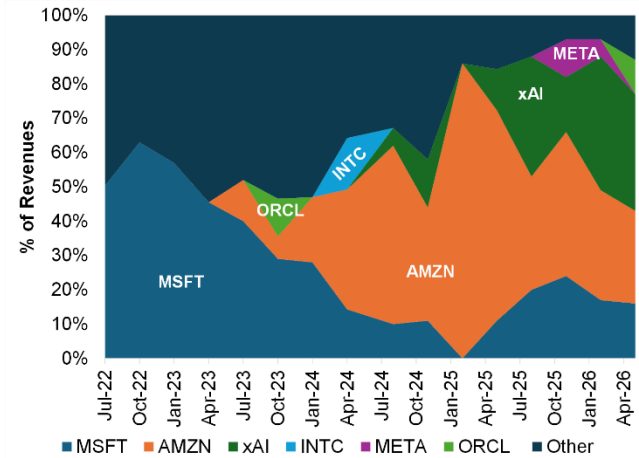
Source: Company Data, Evercore ISI Research

Figure 4: Optical Revenue Growth Requires Modest Share Gain



Source: Company Data, Evercore ISI Research ests

Figure 5: CRDO Customer Concentration



Source: Company Data, Evercore ISI Research

CRDO 3- & 5-Year Bull / Base / Bear Case Scenario Analysis

Figure 6: EVR ISI CRDO 3- and 5-Year EPS Scenario Analysis

Income Statement	CY25 EVR ISI	3yrs (CY28E)			5yrs (CY30E)		
		Bear	Base	Bull	Bear	Base	Bull
Revenues, \$m	\$1,068	\$2,883	\$5,142	\$9,062	\$3,229	\$9,141	\$17,544
CAGR		39%	69%	104%	25%	54%	75%
Gross Profit, \$m	726	1812	3377	6077	1998	6180	11873
GM, %	68%	63%	66%	67%	62%	68%	68%
OpEx, \$m	241	326	585	1023	365	1032	1981
Op Income, \$m	485	1486	2792	5053	1634	5148	9891
OpM, %	45%	52%	54%	56%	51%	56%	56%
Int Expense & Other, \$m	22	116	185	365	116	185	365
Tax Rate, %	1%	2%	6%	8%	5%	10%	15%
Net Income, \$m	500	1570	2813	4984	1662	4800	8718
Share Count, m	190	216	216	216	225	225	225
EPS	\$2.63	\$7.27	\$13.02	\$23.08	\$7.40	\$21.36	\$38.79
EPS 3yr/5yr CAGR		40%	70%	106%	41%	101%	145%
NTM P/E		20x	30x	30x	25x	23x	20x
PEG Ratio		0.5x	0.4x	0.3x	0.6x	0.2x	0.1x
PT, 3/5yrs out		\$145	\$393	\$692	\$185	\$491	\$776
Disc factor 10% (2/4yrs)		1.21	1.21	1.21	1.4641	1.4641	1.4641
PT		\$120	\$325	\$572	\$126	\$336	\$530

Source: Company Data, Evercore ISI Research

Figure 7: CRDO Bear-Base-Bull Case Scenario Analysis

Bear Case - \$120, -52%	Base Case - \$325, 30%	Bull Case - \$572, 129%
20x PE, Applied to C28 Earnings, discounted back 1yr	30x PE, Applied to C28 Earnings, discounted back 1yr	30x PE, Applied to C28 Earnings, discounted back 1yr
Faster-than-anticipated decline in AEC market Inability to meaningfully penetrate Optical domain GM pressure as AEC commoditizes Smaller TAMs for nascent growth opportunities	Robust revenue growth driven by both core AEC franchise as well as new product categories (Optical, ALC, OmniConnect) GMs remain near current levels & above 63%-65% target levels OpEx grows at 1/2 rate of revenues	New category TAMs prove to be larger than anticipated, and CRDO takes greater share Under-appreciated Agentive CPU related AEC TAM expansion GMs remain in high-60s% based on mix OpEx growth 1/2 rate of revenues

Source: Company Data, Evercore ISI Research, FactSet

Key Investor Debates

Is AEC Franchise Melting Ice Cube or Falling Knife at 1.6T and Beyond? Neither, AEC TAM Growth Through (& Likely Beyond) End of Decade.

Since GTC 2026 and comments from NVDA CEO Jensen Huang suggesting that CPO is entering scale-out at Vera Rubin and scale-up at Rosa Feynman generations of the company's rack-scale AI architecture, coupled with strong demonstrations of various NPO, XPO and CPO technologies at OFC 2026, investors have grappled with the durability of copper franchises. For CRDO's part, shares declined by nearly 40% at the start of CY2026 before bottoming and breaking out recently to new all-time-highs. Overall, we believe the copper vs optical debate is misframed – as copper vs optical play different roles depending on 1) which hyperscaler is deploying capacity, and 2) where within the datacenter Networking engineers are contemplating copper vs optical from a physical medium standpoint. AEC connections are related to in-rack scale-out connections whereas NPO and CPO deployments are targeting either inter-rack scale-out or in-rack scale-up. Moreover, AECs represent less than 1/3rd of total NIC to ToR interconnection points as of CY2025 and as 800G NIC and ToR switch deployments proliferate that is set to increase to 70% by CY2027. CRDO has demonstrated sufficient reach via its recently released 1.6T AECs and also has noted there are several ways for hyperscale customers to achieve 1.6T (i.e., 1 port of 8x200G vs 2 ports of 4x200G vs 2 ports of 8x100G). Taken together, we expect the AEC market to continue its growth path through 2030 as the 1.6T AEC ramp is set to begin in volume not until 2027 and 448G per lane solutions related to 3.2T are unlikely to begin ramping until 2029 earliest. Moreover, the 400G deployment cycle proved to last much longer than initially anticipated – thus the time that 3.2T becomes a meaningful portion of mix could very well push out in time.

Can CRDO Win Transition to Optical at Significant Scale? We Think Scale Can Come From Stable Share – So Yes.

Skeptics note that CRDO is entering a module market that has been dominated by Innolight, Eoptolink and Coherent, and a DSP market that has been dominated by Marvell and Broadcom (combined virtually 100% share), and that production today rests on a single sub-scale neocloud (TensorWave) with three customers in qualification. Our sense is that the “ZeroFlap” concept sells managed reliability – in-band telemetry, on-module event logging, switch-resident PILOT software – versus a commodity flap problem that has datacenter operators measure in lost GPU-hours. Moreover, given the joint presentation by ORCL and CRDO at OCP 2025, coupled with the co-led OCP reliability workstream, our sense is that the ORCL ramp will prove very real and can be measured in north of 5 million modules alone by 2028 (if not closer to 10 million). The DustPhotonics acquisition closes the cost-gap by internalizing the PIC – and perhaps more importantly, channel checks suggest that AMZN has historically worked with DustPhotonics (and we note that AMZN build-plans for 800G modules in 2027 amount to well north of 15 million). And overall, our view that CRDO can ramp its optical franchise into a sizable revenue scale is mainly centered on our bullish view on the overall market – with AI [checks](#) suggesting that 2027 combined 800G and 1.6T module deployments can amount to 160 million. And we would expect that to grow further into 2028. But conservatively assuming 160m modules deployed in 2028 (flat YY) and our Optical revs for CRDO (\$1.73bn) are based on an implied 2% share of the total market from a units perspective.

Does CPO and NPO Disintermediate CRDO – Or Hand It a Second Act? DustPhotonics Positioned Well In Our View

At the highest level, we view the pluggable market (both AECs and DSP-based optical modules) as relatively immune from CPO or NPO deployments for the next several years. On the copper front, at the end of the day Network engineers will deploy copper where they can and optical where they must – and AECs have demonstrated the ability to meet the reach requirements at up to 1.6T data-rates thus far with eyes on extending to 3.2T – which presents a lower-cost, much more reliable (CRDO has suggested 1,000x more reliable vs optical) medium to handle in-rack interconnections. We also do not anticipate CPO or NPO deployments to displace long-reach DSP-based scale-out optics with reach lengths measured in the 10s of meters. CPO and NPO will be mainly geared towards the scale-up domain as that scale-up domain stretches into the 512 and 1,152 accelerator count levels – as these require 3-to-5 racks which sits beyond the capabilities of AEC and other active copper offerings but beyond the majority use of traditional facility scale pluggable optics scale-out. Perhaps more importantly, we believe DustPhotonics acquisition gives CRDO a more than fair shot at playing a large role in Near-Packaged Optics deployments that hyperscalers are pursuing in the 2028-29 timeframe given 1) strong existing hyperscaler design wins for standalone PICs, 2) strong value proposition of lower laser

requirements (75% reduction vs typical PIC due to Low Laser Loss Coupling – L3C – technology), and **3)** led by strong management team (former Mellanox) and investment backing (Chairman sold Habana Labs to INTC, Annapurna Labs to AWS, Galileo to MRVL).

Is Credo's Product Roadmap Real Revenue Potential or Slideware? Both Should Be Viewed as Call Options

CRDO has touted two separate new product categories – namely OmniConnect very-short-reach SerDes with initial use-case being a memory fan-out gearbox (Weaver) and microLEDs / Active LED Cables via the company's Hyperlume acquisition – as multi billion dollar TAM opportunities ramping in its FY28 timeframe. On the gearbox front, CRDO has highlighted a design win – Positron AI – but we acknowledge the company has yet to tape-out its Asmiov silicon (slated for late 2026). We believe the premise of adding up to 2TB of LPDDR5 and bypassing the HBM tax is powerful – but in a wafer- and memory-constrained environment we would be more comfortable underwriting strong Gearbox revs ramp if a more established XPU vendor adopts. On the ALC front, the technology remains unproven with no production deployments to-date and most vendors in R&D or sampling phase. That said, it sounds as though CRDO plans to have demos as early as OCP (October 2026) so we will closely monitor any meaningful developments.

At 19x EV to NTM Sales How Much of Upside is Already Baked In? Not Enough

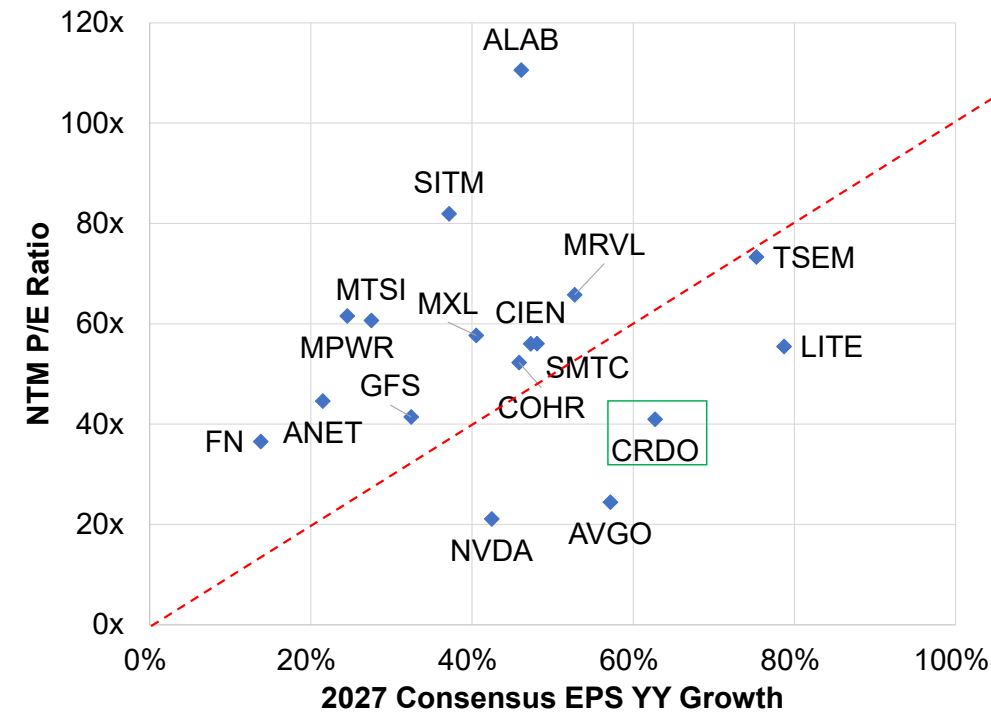
Admittedly at 19x EV to NTM Sales, CRDO screens above the median of its peer-group (14x) by several turns. However CRDO demonstrated the highest growth in 2025 for both Revs & EPS and is estimated by the Sell-Side to be amongst the highest quartile with regards to Revs/EPS growth into 2026 as well. Separately, CRDO has premium GMs (high-60s%) vs many of its high-flying peers in the 25% to 40% - which we believe is deserving of a premium multiple vs comps. On a go-forward basis, we believe CRDO has positioned its portfolio in a way that expands its TAM considerably over the next 3-to-5 years (by >10x) setting it up to gain share in overall AI Networking TAM which is forecast to grow by high-60s% CAGR through 2030. Our PT of \$325 assumes 30x P/E ratio on \$13+ 2028 EPS discounted back 2yrs at 10%. The implied PEG ratio is 0.4x – well below the PEG of 1 threshold that we believe is defensible.

On PEG ratio using NTM P/E and 2027 EPS growth estimates we show that CRDO is one of the few companies in its peer set that is currently trading at sub-1 PEG

And importantly, the chart on the right shows where sell-side consensus implies PEG ratio to be

Based on our own estimates PEG ratio compresses further from 0.7x to 0.3x

Figure 8: CRDO Screens Attractively on PEG Ratio (2027 EPS Growth vs NTM P/E)



Source: Company Data, Evercore ISI Research, FactSet, 6/16/2026

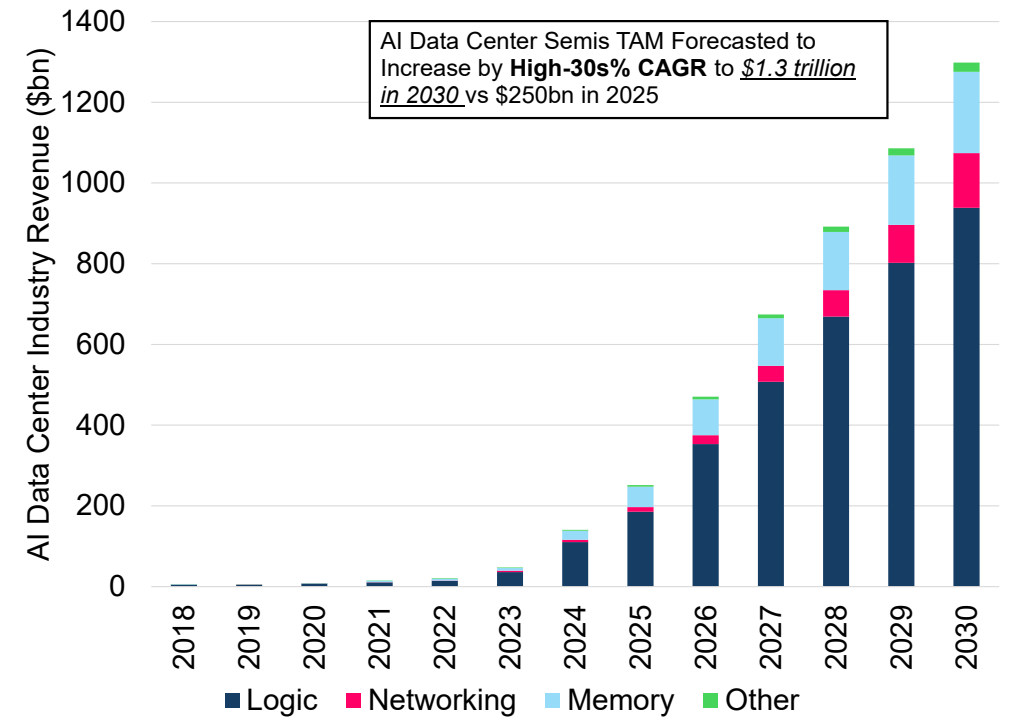
Gaining Share in Fastest Growing Segment of AI Semis

According to 650 Group Research forecasts, the AI datacenter Semiconductor industry revenue TAM is expected to increase from ~\$250bn as of 2025 at a High-30s% CAGR to nearly \$1.3 trillion by 2030

Within the broader TAM, AI Networking revenues are expected to grow at the fastest rate, forecasted to increase by mid-60s% CAGR vs other segments (Logic, Memory, Analog, Power, Storage, Other) growing at low-30s% to low-40s% CAGRs

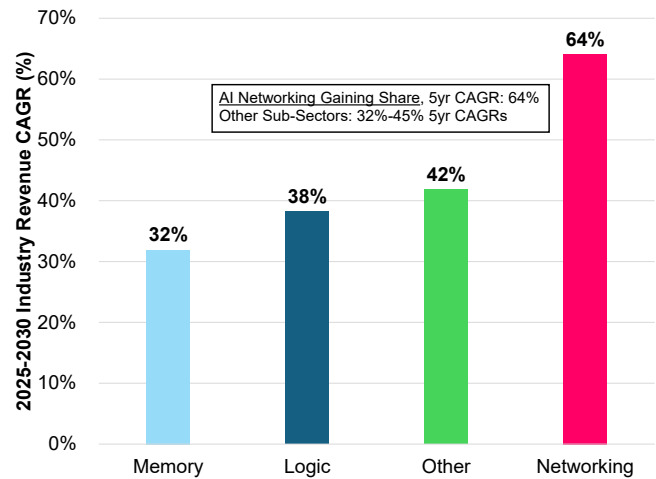
Thus CRDO is fully exposed to the fastest growth segment in Datacenter Semis within the next 5 years

Figure 9: AI Data Center Semis TAM to Surpass \$1 Trillion by 2029



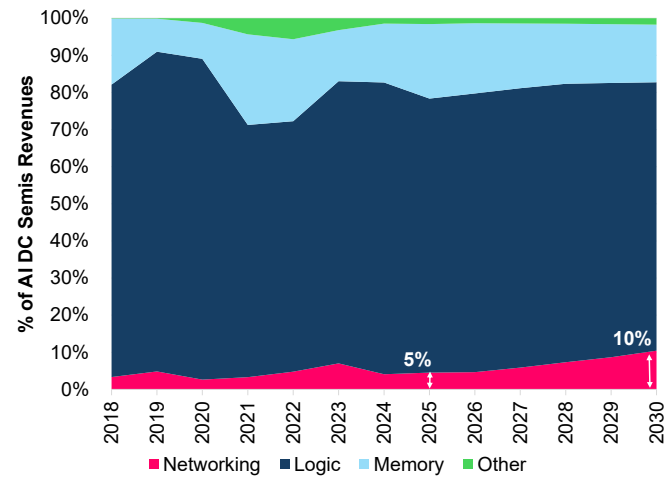
Source: Company Data, Evercore ISI Research, 650 Group Research

Figure 10: AI Networking = Highest Growth Segment w/in AI Data Center Semis Next 5 Years



Source: Company Data, Evercore ISI Research, 650 Group Research

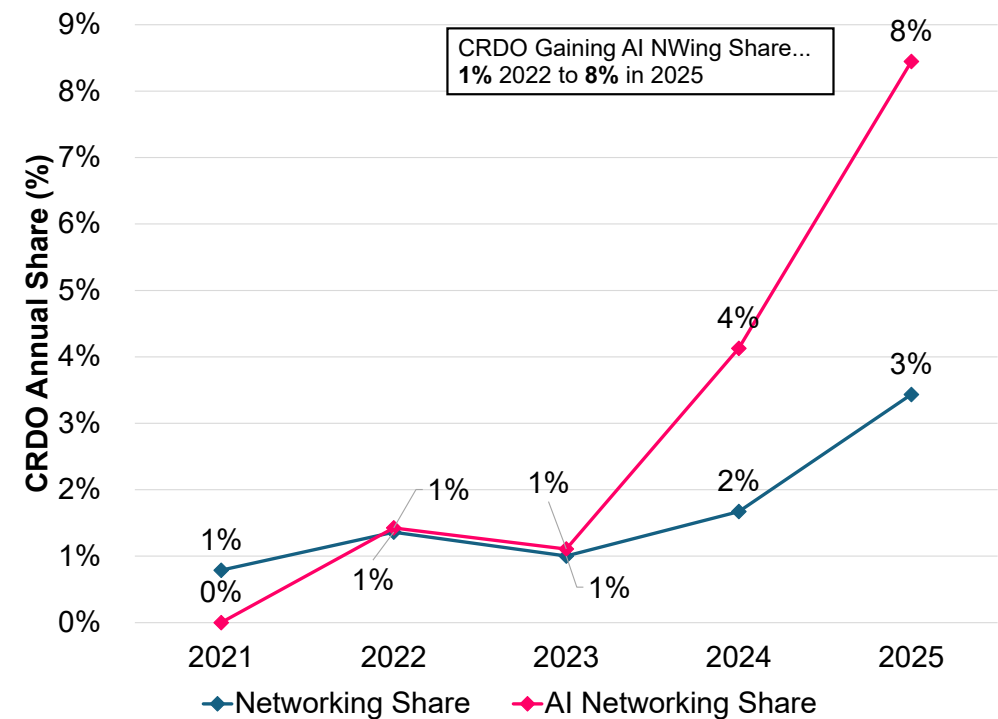
Figure 11: AI Networking as % DC Semis TAM Growing from 5% to 10%



Source: Company Data, Evercore ISI Research, 650 Group Research

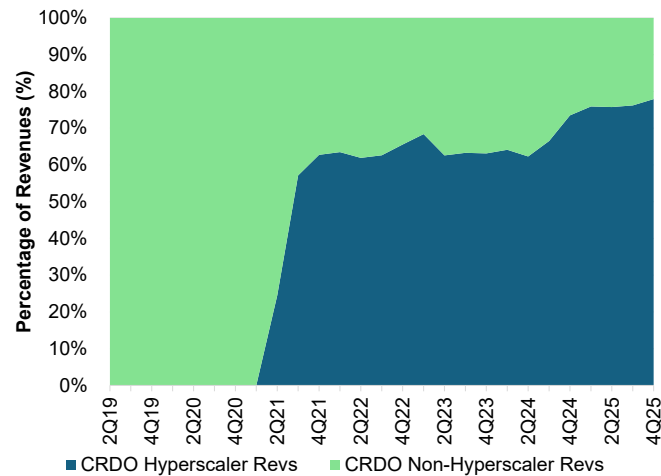
As a pure-play high-speed connectivity company, CRDOs share within the AI Networking TAM has grown from 1% in the 2022-2023 timeframe, to 8% as of 2025

Figure 12: CRDO Been Outgrowing AI Networking TAM Past Several Years



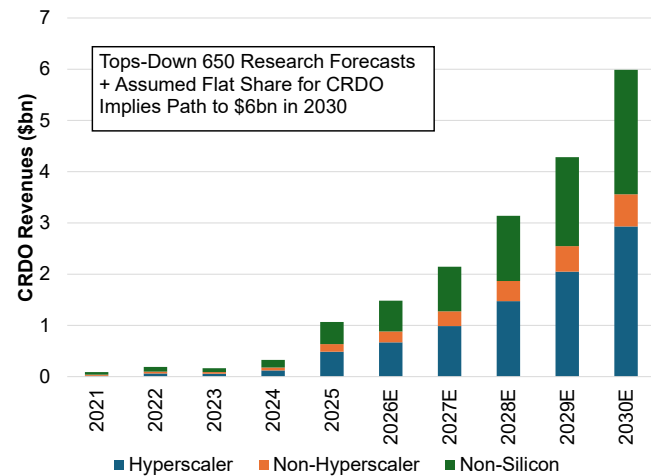
Source: Company Data, Evercore ISI Research, 650 Group Research

Figure 13: CRDO Silicon Revs Nearing 80% Hyperscaler



Source: Company Data, Evercore ISI Research, 650 Group

Figure 14: Tops-Down Path to \$6bn by 2030 (vs \$1bn in 2025)



Source: Company Data, Evercore ISI Research, 650 Group

Over the last several years CRDO has aligned with large hyperscaler AI buildouts and as a result has been a share gainer in the last 24-months. We show that conservatively holding share fast vs 650 Group's forecast for \$150bn in DC Networking TAM implies \$6bn in revs for CRDO. But our sense is they will continue their share-gain story as they enter new product categories.

On a bottoms-up basis, looking at TAM commentary from CRDO and 3rd party market research sources across the company's existing and future product categories, we believe CRDO's 2030 TAM can be measured closer to \$200bn

650 Group forecasts chip AEC TAM of \$3.5bn with cable TAM 2x to 3x larger per CRDO mgmt

Optical DSP TAM extrapolates 25% 2yr CAGR beyond MRVL's \$19bn CY28 TAM forecast

CRDO forecasts \$6bn standalone PIC TAM by 2030

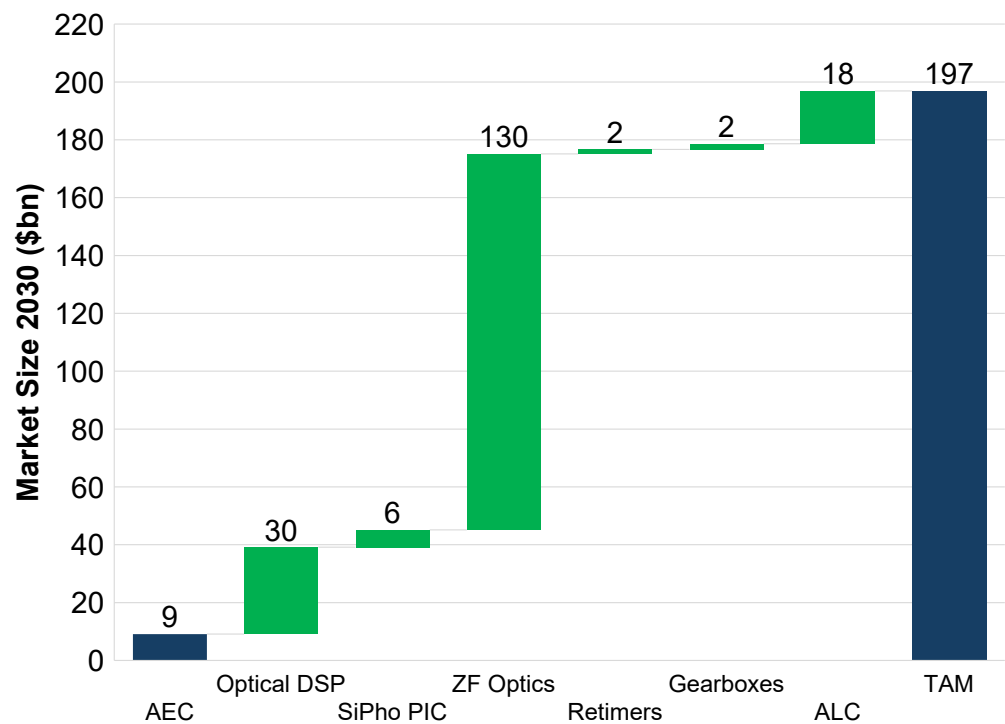
\$130bn ZF Optics TAM assumes 200m transceiver + \$650 ASP

Retimers of \$1.5bn aligned w/ ALAB model

Gearboxes expected multi-\$bn per mgmt

ALC expected 2x size of AEC implying \$18bn

Figure 15: Bottoms Up TAM Build Out Implies Further Upside



Source: Company Data, Evercore ISI Research

Competitive Differentiation: Three-Tiered Innovation Framework, Vertically Integrated Moat

In our view, Credo's competitive positioning is best understood as a stack of its foundational SerDes IP, the chips built around it, and the full system-level products that ship to customers – with each layer independently differentiated, and the layers compounding value on one another. Mgmt has historically described this as three tiers of innovation bounded together by firmware/telemetry software and full supply-chain operational oversight. At each layer, Credo builds only what each job needs, which lets it deliver leading performance from a cheaper, more mature manufacturing process, or lower power at an equivalent manufacturing process.

■ Tier 1: Purpose-Built SerDes, Not One Size Fits All

As a pure-play high-speed connectivity company, everything starts with SerDes – the mixed-signal circuit that serializes & deserializes high-speed data and is considered by many within the Semis industry as amongst the hardest building block on any high-speed link. CRDO's signaling options span 28G to 224G with reach options across LR+ (long-reach plus), LR (long reach), MR (medium reach) and VSR (very short reach plus) and process nodes spanning 28nm to 3nm. As signals travel down the circuit, the high-frequency content loses signal integrity – and the longer and lossier the wire, the more garbled the data signal arrives. SerDes' equalizer (the DSP block) is the circuitry that reconstructs that signal, and the amount of loss it must overcome is measured in decibels of insertion loss, ranging from 10dB for short in-package hops to >40dB across a rack or backplane.

Traditional generic approaches to SerDes design involved building one maximum strength SerDes – CRDO management at times has characterized as the “sledgehammer” approach rated for the longest reach and using for every link, even 10dB hops inside the package. This in turn wastes power, die area, and latency. CRDO has taken a more purpose-built approach, offering a family of variants right-sized to each reach class, and making a single IP programmable so that the same silicon can be dialed per lane (i.e., turning off equalization stages not needed for any given channel).

■ Tier 2: Advanced IC Design

SerDes is the building block on top of which it develops differentiated products by integrating functions that normally sit in separate components, deciding where to add and where to remove the DSP in order to optimize for power, and adding features beyond the IEEE baseline standard. The company's line-card chips are retimer-gearboxes that shift lane speed, convert modulation (i.e., PAM-4 to NRZ and vice versa), terminate and/or regenerate forward-error-correction, and enable line-rate MACsec encryption into the PHY itself rather than a separate security ASIC. Its optical DSPs pull the laser driver, equalization, and distortion compensation onto a single die. CRDO's chip design is agnostic across protocols – spanning UALink, ESUN, Ethernet, PCIe, and in the future CXL.

■ Tier 3: Full System Solutions

Unlike many of Credo's competitors, it does not sell just the chip – rather the whole connectivity solution. For AECs, management originally tried the normal model of selling chips to cable makers, but decided the cable vendors did not have enough system-level expertise to integrate active electronics well enough. CRDO pivoted to handling the entire cable stack from product definition with Hyperscaler to paddle-card design to firmware to component sourcing to qualification and production support. Importantly, with this approach, CRDO qualifies the entire link in-house via its thermal chambers which has led to an extremely strong track record during external qualification. More recently, CRDO has maintained its full-system approach as it has begun shifting its portfolio from Copper to Optical, with its upcoming ZeroFlap Optics transceivers. Here, CRDO will handle not just the optical DSP but also the Silicon Photonic IC, the transceiver (via 3 outsourced Contract Manufacturers – similar to its BizLink relationship in AECs) and the firmware. The key advantage per management is that the resulting products have the potential to be more reliable than just the DSP or a commodity module.

Active Electrical Cable Deep Dive

What are Active Electrical Cables?

Active Electrical Cables (AECs) are copper-based cable assemblies with embedded signal conditioning ICs (namely clock & data recovery ICs & retimers) in each end of the cable that actively regenerates and equalizes the electrical signal to extend the viable reach beyond what passive Direct-attached Cables (DACs) can achieve, given that DACs rely solely on the host SerDes to drive the signal through the copper medium. As SerDes lane rates have increased from 25G to 50G, 100G, and 200G over the past decade, the practical reach for DACs has shrunk from 100-meters at 1G per lane to 10-meters at 10G/lane, 5 meters at 28G/lane, 3 meters at 56G/lane and now only 2 meters at 112G/lane.

Signals transmitted across copper degrade more rapidly at higher speeds – the negative effects can be characterized in three categories:

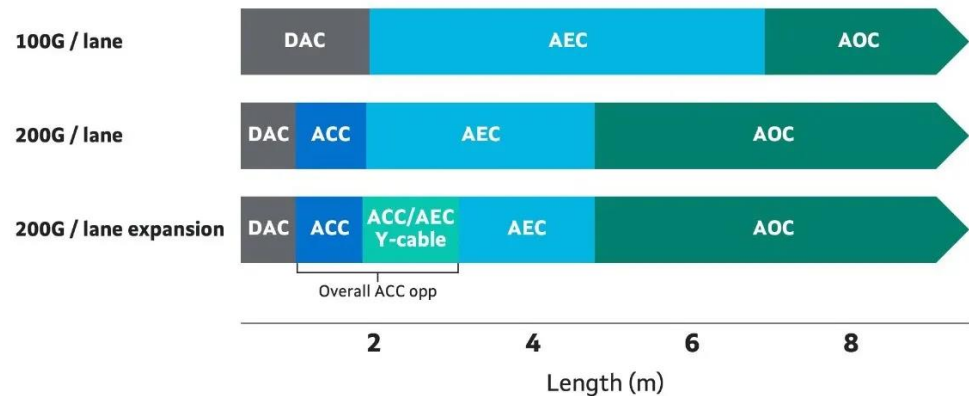
- **“Skin Effect”**: Faster SerDes means higher data transmission speed, or that more 0s and 1s are being sent per second (higher frequency). Those 0s and 1s come with constantly changing voltage & current levels. Every time there is a change in current, there is a change in the magnetic field through which the data signal must traverse. In the center of the conductor, there are more opposing effects from all sides. Thus the current is pushed out towards the surface of the conductor, where there is less opposing effects. However given that data signals crowd towards the outer surface at higher-frequencies, the effective area through which the current can flow is reduced, creating higher resistance, more energy lost as heat, and ultimately less signal once the data reaches the receiver.
- **Dielectric Loss**: More frequent changes in voltage leads to changes in the electric field of the dielectrics within insulator surrounding the conductor. As the voltage changes direction more frequently, the dielectric cannot keep up, which creates more friction & heat, which ultimately leads to signal loss
- **Channel Imperfections**: High-speed signals are sensitive to any physical imperfections, and every channel will have some imperfections, including: **1) Roughness** (given “Skin-Effect” roughness increases the actual data path length), **2) Vias** (effectively a “speed bump” causing signal bounce / distortion / loss), and **3) Connectors** (effectively a “seam” in the channel that the signal becomes less tolerant towards at higher frequencies causing loss & crosstalk). In short, higher frequency data signals ultimately “see” more detail of every small feature, leading to a more degraded eye, less margin, and shorter reach

As a result, AI Networking engineers have begun shifting away from passive DAC and towards alternatives, including AECs (as well as ACCs and AOCs). Below we show a brief synopsis of the key tradeoffs, but the punchline is that short-reach links (i.e., sub 5-meters) do not have to default to optics as passive copper increasingly hits a signal integrity wall at 112G PAM-4 per lane SerDes and beyond, and that due to its ability to preserve the electrical domain while delivering lower power, lower cost & materially better reliability than laser-based optics, AECs have become the de facto standard for intra-rack interconnections such as that between the Network Interface Cards (NICs) and the Top-of-Rack (ToR) switches.

Figure 16: Comparing Direct-Attached Copper vs Active Copper vs Active Electrical vs Active Optical Cables

Product Comparison at 800G	Passive Direct-Attached Cables (DACs)	Active Copper Cables (ACCs)	Active Electrical Cables (AECs)	Active Optical Cables (AOCs)
Reach	Up to 3 meters	Up to 5 meters	Up to 10 meters (1-to-5 meters most common)	Up to 100 meters
Power	<0.1W	0.5W to 2W per end	6W to 12W per end	14W to 20W per end
Signal	Electrical	Electrical + Linear Equalizer/Redriver	Electrical + retimer/DSP conditioning	Optical
Latency	5ns	<1ns	100-500ns	>1,000ns
Relative Cost	1.0x	2x to 3x	4x to 6x	7x to 12x
Strengths	Lowest-cost, zero power, simple/passive, mature supply-chain	Lower power vs AEC/AOC, extends reach vs DAC, cheaper vs AEC/AOC, simpler than retimed cable	Lower cost than AOC, often lower power vs AOC, stronger signal conditioning vs ACC	Longest reach, thinnest/lightest cable, best routability, better airflow, avoids copper signal integrity limits
Weaknesses	Shortest reach, thick/heavy cable blockage, harder to route at scale in 800G and beyond	Still relatively thick, reach improvement limited, active components add failure modes, not as robust as AEC for lossy channels	Active retimer/DSP adds latency & complexity, copper cable can still be bulky unless using thinner short-reach variants	Highest cost, highest power, highest component complexity, thus least attractive for short-links where copper remains viable

Source: Company Data, Evercore ISI Research

Figure 17: MRVL Estimates on Reach at Varying Data Rates

Source: Marvell estimates

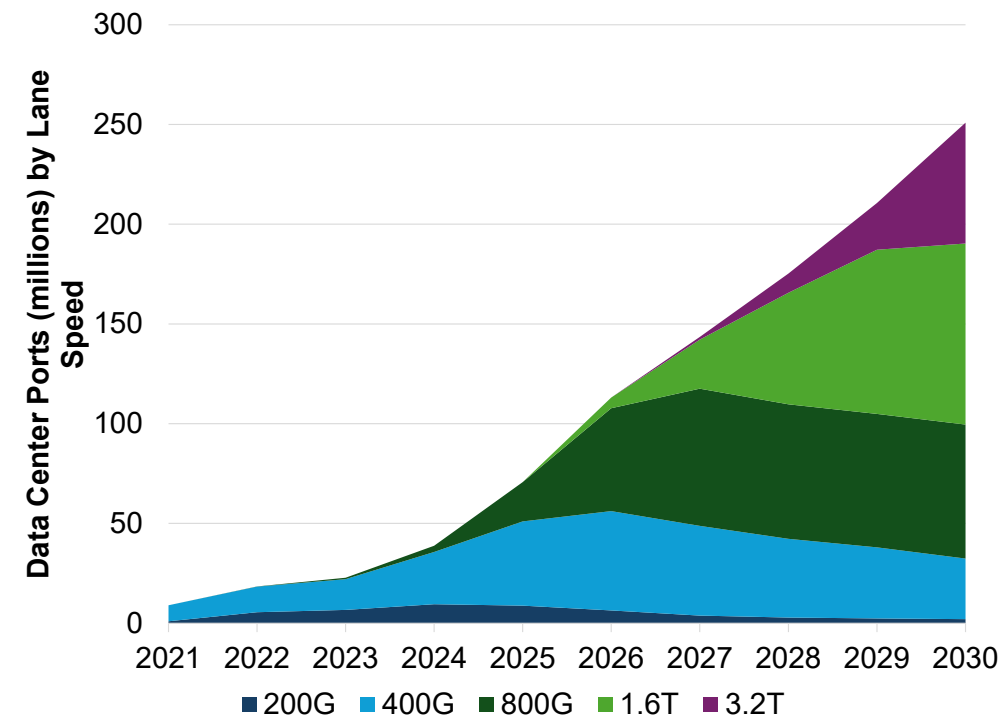
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Source: Company Data, Evercore ISI Research, Marvell

We would expect that as 800G and 1.6T port penetration increases over the next several years (from 8% of ports in 2024, to 28% in 2025 to 71% in 2029) that AEC penetration rates should begin to proliferate as a result of the above advantages vs DAC, ACCs and AOCs

Figure 18: Data Center Switch Ports by Speed



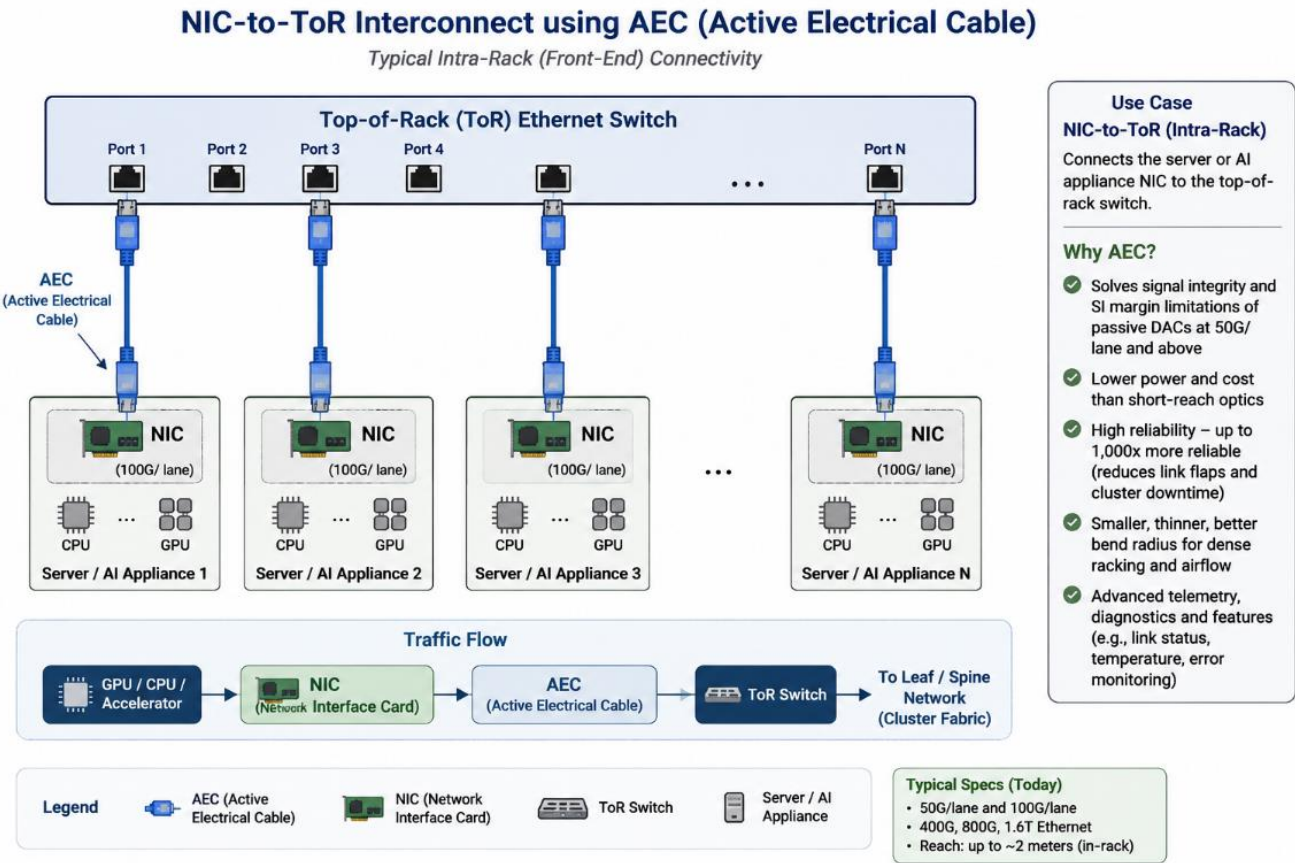
Source: 650 Group Research

AEC Main Use-Cases:

There are several current as well as future/expanding buckets of use-cases for Active Electrical Cables. While the predominant use-case today consists of server NIC to Top-of-Rack switches, disaggregated switch racks, AI scale-out back-end networks (within rack), rack-to-rack scale-out links up to 7 meters, Row-scale scale-out networking – all via Ethernet protocols, as well as expanding into additional protocols (namely PCIe, CXL, UALink)

1. Front-End Server NIC to Top-of-Rack Switch Interconnect: Most established AEC use-case, connecting the server NIC to the ToR switch. 650 Group estimates that AECs now represent 34% of total NIC-to-ToR interconnections (as of 2025) and forecast that AECs will represent 77% of NIC-to-ToR interconnections by 2030.

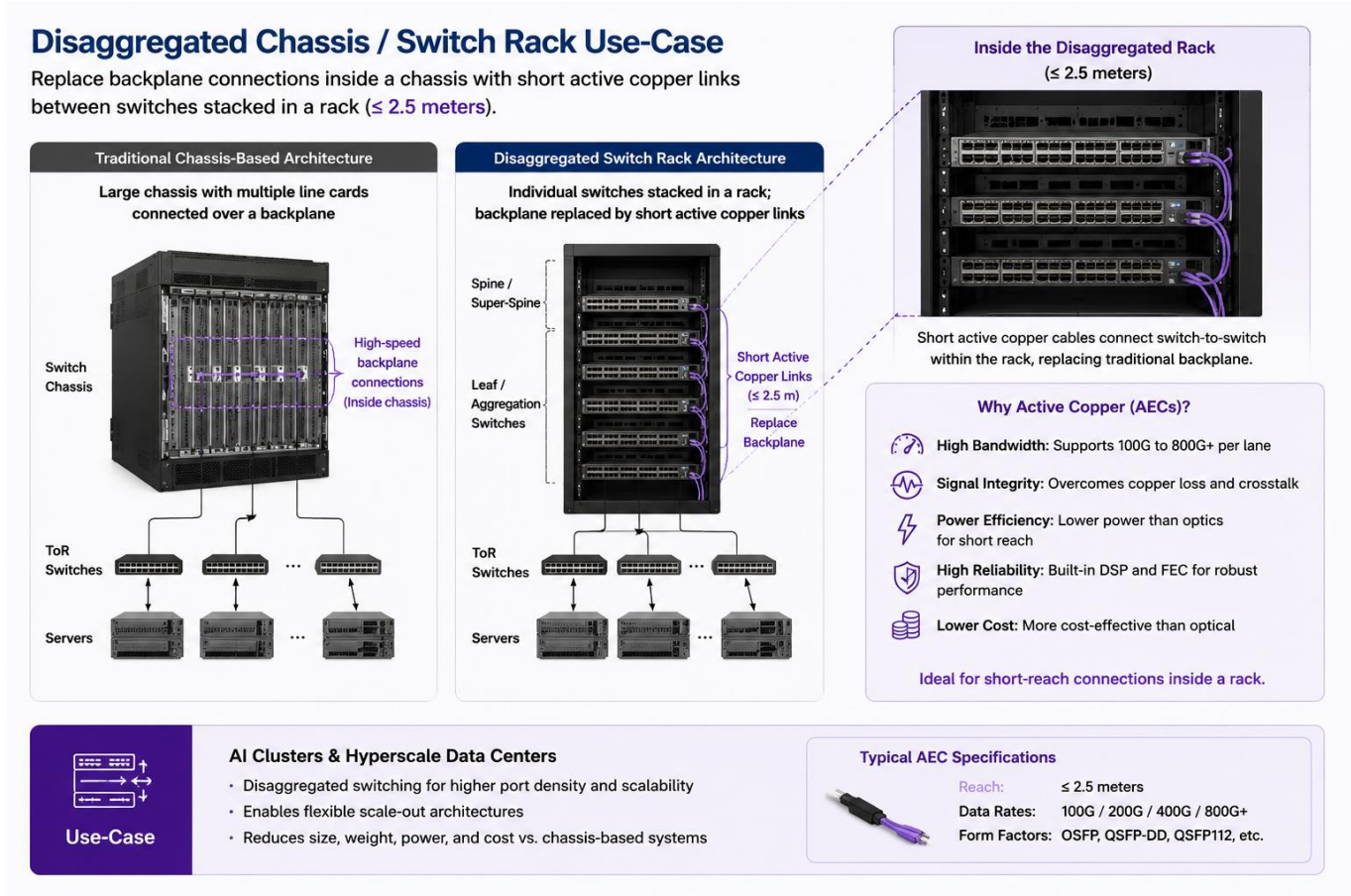
Figure 19: NIC to ToR Interconnect Use Case



Source: Company Data, Evercore ISI Research

2. Disaggregated Chassis / Switch Racks. In a disaggregated switch-rack architecture, operators replace a traditional switch chassis – where switching elements are connected internally over a backplane – with multiple switch boxes stacked vertically in a rack. In that setup, the former backplane links become short in-rack cable connections, typically 2.5 meters or less. This is a natural use-case for AECs, because they preserve signal integrity and routing density better than passive DACs as lane speeds rise. Historically, this use-case was discussed in the switching/routing layer, though more recently CRDO has also indicated that there has been some uptake for AI back-end switch racks

Figure 20: Disaggregated Switch Rack Use-Case



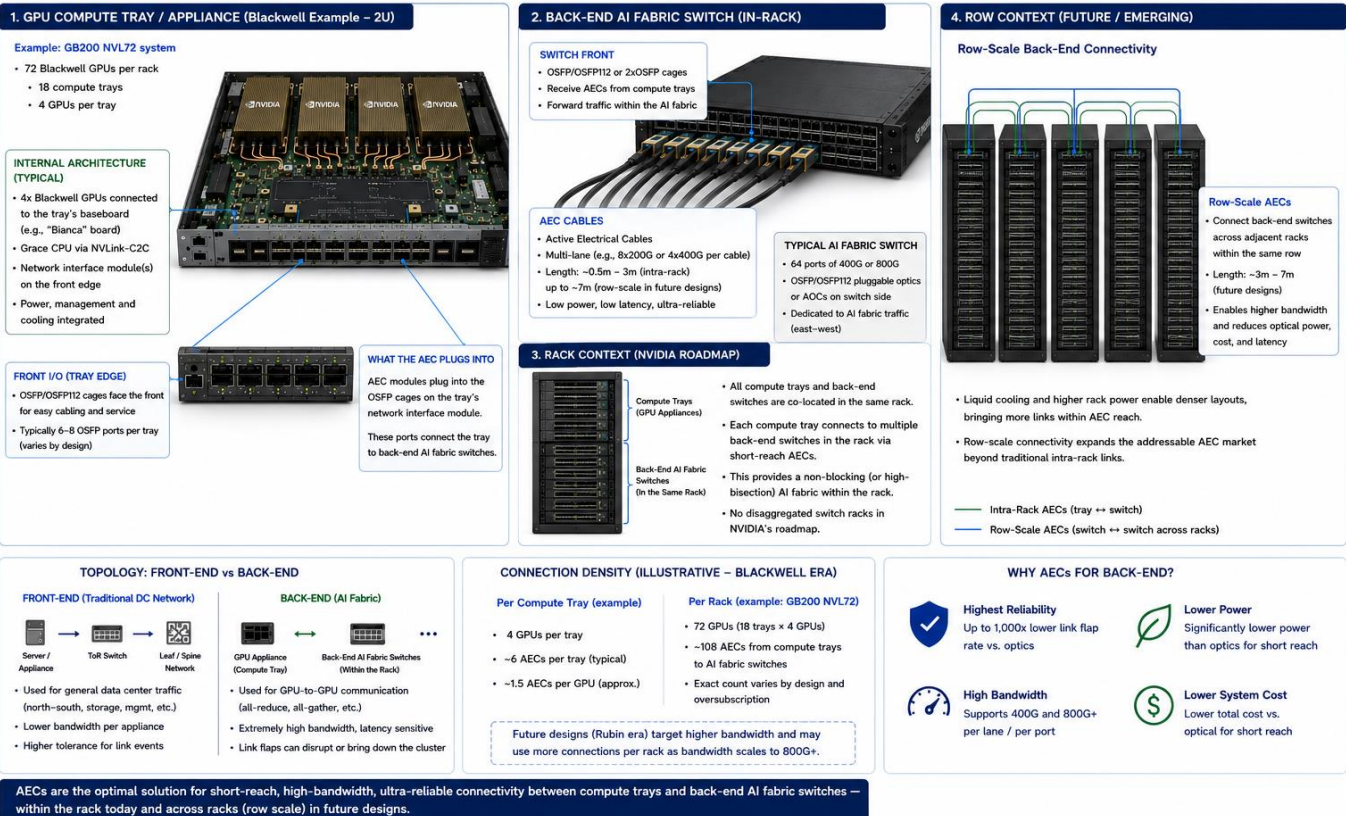
Source: Company Data, Evercore ISI Research

3. **AI Back-End Networks.** Now the vast majority of AEC volumes for CRDO given higher-density and thus larger possible volume of interconnections (think back-end scale-out 10x vs front-end, back-end scale-up 100x vs front-end). More specifically, use-cases include:
 - a. **Appliance-to-Switch:** AEC can be used in order to connect the AI appliance / compute tray / NIC-side fabric port to the first back-end switch. Credo has historically highlighted that the first hop matters, because in large AI clusters there is effectively no practical redundancy on the GPU/appliance to switch link – thus a single link flap can impair or bring down the whole cluster, which is why reliability has become a primary design priority. AECs are a good fit as they offer a short-reach electrical connection, that has very high bandwidth-density, a strong need for low-power, and extreme sensitivity to link flaps
 - b. **Switch-to-Switch (Inside Row):** This is slightly different from the old front-end disaggregated chassis concept, though there is some architectural overlap. In the back-end context, these are short-reach links interconnecting the AI fabric switches that service the cluster. These interconnections are still short enough for active copper in many of the architectures and reliability and serviceability are still important
 - c. **Rack-to-Rack:** Within dense AI deployments, rack-to-rack back-end AECs are also possible via AEC connections that can stretch up to 7-meters. This is a smaller opportunity overall (with CRDO noting that 7-meter connections are only LSD% of total AEC connections), however as 18-rack air-cooled rows can for example compress down to much denser 6-rack liquid-cooled layouts, AECs have the potential to take incremental share from pluggable optics across the row

Figure 21: AI Back-End Interconnections via AECs

AI Cluster Back-End Connectivity with AECs (Blackwell / Rubin Era)

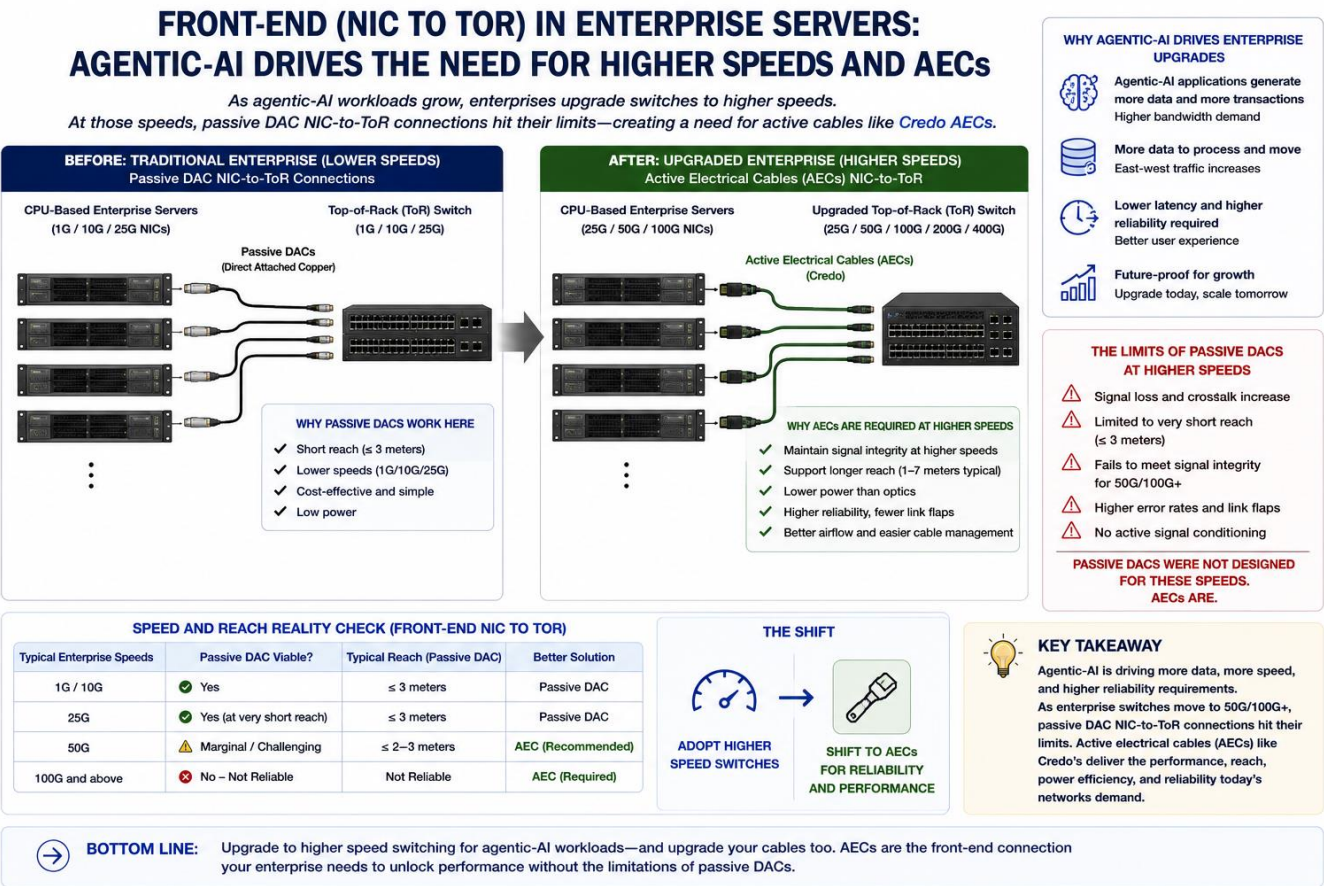
AECs connect compute trays (GPU appliances) to back-end AI fabric switches — within a rack and across racks (row scale)



Source: Company Data, Evercore ISI Research

4. Traditional Enterprise / General-Purpose Compute Servers. The majority of enterprise servers today are utilizing 25G/lane or slower switches, however as the result of higher core-counts (with Intel's Granite Rapids 128 cores, AMD's Turin 192 cores, Microsoft's Cobalt 132 cores, Amazon's Graviton 5 192 cores, Nvidia's Vera 88 cores, Google's Axion with 72 cores) that are likely to continue expanding (with ARM suggesting that core-counts may approach 250 or even 500 in the coming 3-to-5 years), general server/storage architectures will likely exceed the existing 25GbE network bandwidths and will need to upgrade to 100G in order to drive necessary throughput & latency improvements. More cores matter because they create more applications threads, more memory traffic, more storage/network requests, and in general, more east-west traffic overall. Recall, that at 25G/lane Direct-Attached Copper but in AI hyperscalers began to adopt AECs at 50G/lane and at 100G/lane AECs become a de facto standard. We would expect the same exact playbook to manifest (albeit likely in more gradual fashion than AI) for the long tail of general-purpose servers over the coming 5 years.

Figure 22: Traditional Enterprise / General-Purpose Compute Server Use-Case



Source: Company Data, Evercore ISI Research

Our current estimates place the 2030 CPU TAM between \$190bn and \$275bn, tracking an increase in CPU to GPU ratios from 1:4 up to parity, or more likely 2:1

This implies a server CPU TAM of 75m to 110m in 4 years

Which compares to a TAM closer to 25m to 30m today

Importantly, these CPUs will become increasingly higher-core count over time

And we think this increase in core-count will ultimately lead to an upgrade cycle for the long-tail of 25G Enterprise switches that exist in the market today

As these switches upgrade from 25G to 50G, 100G and beyond, this will increase the overall TAM for front-end NIC to ToR connections

And ultimately will be an underappreciated tailwind for AECs

The value proposition from AECs comes from the shortcoming of passive copper beyond 25G/lane

In the chart on the right, we show a hypothetical way to think about NIC to ToR connections that could be applicable for AECs out in 2030 based on our CPU Renaissance thesis

Assumptions include: somewhere between 1 in 4 and 1 in 8 NICs per CPU rack (with racks currently ~256 CPUs total) based on 32 server trays / 64 DPUs from NVDA Vera rack spec

For non-Accelerator attached assume 2 CPUs per server (thus 1 AEC per 2 CPUs)

Figure 23: CPU Renaissance Thesis

2030 XPU 5-yr CAGR	# of XPU	# of AI Server CPUs Assuming CPU:GPU Ratio				
		1-to-2	1-to-1	2-to-1	4-to-1	8-to-1
10%	16	8	16	32	64	129
20%	25	12	25	50	100	199
30%	37	19	37	74	149	297
40%	54	27	54	108	215	430

2030 XPU 5-yr CAGR	# of XPU	AI Server CPU TAM in \$ Billions				
		1-to-2	1-to-1	2-to-1	4-to-1	8-to-1
10%	16	\$24	\$48	\$97	\$193	\$387
20%	25	\$37	\$75	\$149	\$299	\$597
30%	37	\$56	\$111	\$223	\$446	\$891
40%	54	\$81	\$161	\$323	\$645	\$1,291

Assume \$3,000 ASP per AI CPU

2030 ex-AI CPU 5yr CAGR	# of XPU	Total CPU TAM in \$ Billions				
-5%	16	\$56	\$80	\$129	\$225	\$418
0%	25	\$79	\$116	\$191	\$340	\$638
5%	37	\$108	\$164	\$275	\$498	\$944
10%	54	\$147	\$228	\$389	\$712	\$1,357

Source: Company Data, Evercore ISI Research

Figure 24: AEC Compute Server TAM Potential - 6 to 30 Million Cables?

Accelerator Attached CPU TAM 2030 (m)	Percentage Racks / Uplink per CPU				
	25% / 1 per 8	50% / 1 per 8	50% / 1 per 4	75% / 1 per 4	100% / 1 per 4
25	0.8	1.6	3.1	4.7	6.3
50	1.6	3.1	6.3	9.4	12.5
75	2.3	4.7	9.4	14.1	18.8
100	3.1	6.3	12.5	18.8	25.0

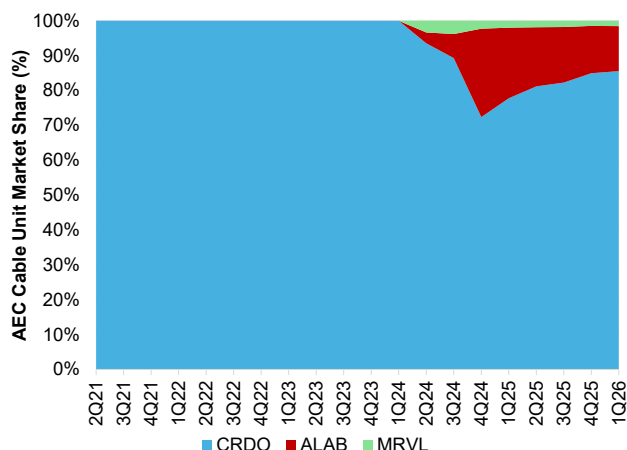
Non-Accelerator Attached CPU TAM 2030 (m)	Percentage 50G/Lane or Higher / AEC Attach per CPU				
	15% / 0.5	30% / 0.5	45% / 0.5	60% / 0.5	75% / 0.5
21	1.6	3.2	4.8	6.4	8.0
28	2.3	3.4	6.9	9.2	11.0
35	2.9	4.4	8.8	11.7	14.0
44	3.7	5.5	11.1	14.8	17.7

Source: Company Data, Evercore ISI Research

For context, 650 Group currently forecasts Low-Teens Millions total cables in 2030 and this estimate includes AI appliance attach rates. So our sense is that the bull-case scenario for AECs remains meaningfully under-appreciated.

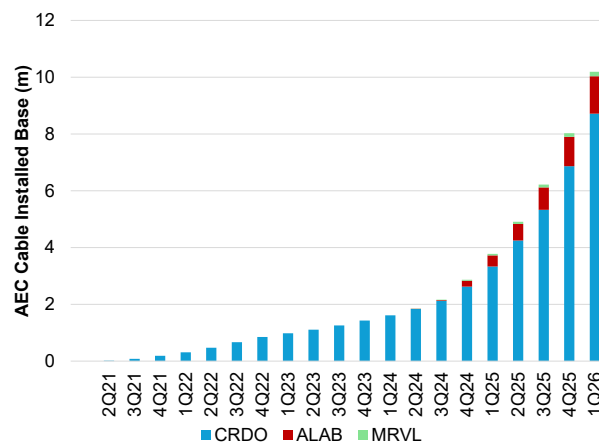
CRDO Remains Category Leader for Active Electrical Cables: By the late 2010s, hyperscale data centers were hitting a wall. The industry was migrating from 25G/lane to 50G/lane (i.e., 400G ports), and the underlying physics of passive copper began to fail. Passive DACs at 50G PAM-4 could no longer carry beyond 2-to-3 meters and optical solutions were factors more costly and power hungry. CRDO aimed to fill this gap by embedding SerDes-based retimers within the cable assembly itself – turning a dumb passive cable into an active link with cleanly regenerated signals on both-ends. In creating the category, CRDO has had a roughly 4-to-6 year head start vs competitors ALAB, MRVL (and soon AVGO) which has led to maintaining high-share (86% in 1Q26) and strong share of overall installed-based to-date of AECs (86% of total as of 1QCY26).

Figure 25: CRDO Retains >80% Share in AEC Market as of 2025



Source: Company Data, Evercore ISI Research, 650 Group Research

Figure 26: CRDO Represents 86% of Total AEC Installed Base as of 1Q26



Source: Company Data, Evercore ISI Research, 650 Group Research

Figure 27: AEC Product Comparison

Ethernet Retimer Characteristics	Credo (HiWire)	Astera Labs (Taurus)	Marvell Alaska A 800G	Marvell Alaska A 1.6T	Broadcom BCM 87854	Broadcom BCM 83361
SerDes Lane-Rates	10G NRZ, 25G NRZ, 50G PAM-4, 100G PAM-4 12nm (TSMC)	25G NRZ, 50G PAM-4, 100G PAM-4	25 NRZ, 50G PAM-4, 100G PAM-4	200G PAM-4	50G PAM-4, 100G PAM-4	200G PAM-4
Process Node	3nm at 1.6T 200G/lane	5nm (TSMC)	6nm (TSMC)	5nm (TSMC)	7nm (TSMC)	3nm (TSMC)
Bit-Error Rate (pre FEC)	<10e ⁻⁸	Not Disclosed	<10e ⁻⁸	10e ⁻¹⁰	<10e ⁻⁸	Not Disclosed
Bit-Error Rate (post FEC)	<10e ⁻¹⁵	Not Disclosed	<10e ⁻¹⁵	<10e ⁻¹⁵	<10e ⁻¹⁵	Not Disclosed
Cable Assembly?	Yes	No	No	No	No	No
Power (per end)	5W per end at 400G, 10W at 800G, 20W at 1.6T	10W at 800G	10.5W	24W per end	7W per end	Not Disclosed
Max Port Speed	1.6T	800G	800G	1.6T	800G	1.6T
Channel Loss Budget	10dB at 14GHz on host side, 12-16dB at 28GHz, Cable Line Channel: >30dB	Not Disclosed	>40dB on both line and host interfaces	40dB line side, 25dB host side	22dB at both host and line-side interfaces	>45dB headline (presumed host + line)
Max Reach (Single Cable)	800G up to 7m at 32 AWG	800G up to 3m at 30AWG, 7m at 26-28AWG	5m at 32 AWG, 7m at 28 AWG	Up to 3m at 30AWG	Up to 5m at AWG	Not Disclosed
Form Factors	QSFP-DD, QSFP-DD800, OSFP, OSFP-RHS, OSFP-XD	QSFP-DD, OSFP, QSFP-DD800	QSFP-DD, OSFP	OSFP	OSFP	Not Disclosed, Assume OSFP
Latency	<20ns per end, +5ns per meter	<50ns (round-trip)	Not Disclosed	Not Disclosed	<25ns (round-trip)	Not Disclosed
Telemetry / Fleet Management	PILOT (Predictive Integrity, Link Optimization & Telemetry): Unified telemetry stack across SerDes/retimer/AEC/optical DSP with AI-driven flap prediction	COSMOS (Connectivity System Management & Optimization Software): Module and link-health monitoring, threshold-based alerts/host interrupts, built-in loopback/PRBS diagnostics, rack-scale link/fleet/RAS mgmt w/ predictive failure analytics	RELIANT (Reliable Link Analytics & Intelligence): Spans switch ASIC, AEC, NIC, end-to-end in one schema	RELIANT (Reliable Link Analytics & Intelligence): Spans switch ASIC, AEC, NIC, end-to-end in one schema	Device-level PHY diagnostics, auto-negotiation/link training, adaptive equalization, host/line loopbacks	Device-level PHY diagnostics, auto-negotiation/link training, adaptive equalization, host/line loopbacks
First Volume Launch	3QCY2019	3QCY2023	3QCY2022 (AECs Generally)	3QCY2022 (AECs Generally)	Not yet in production volumes	Not yet in production volumes

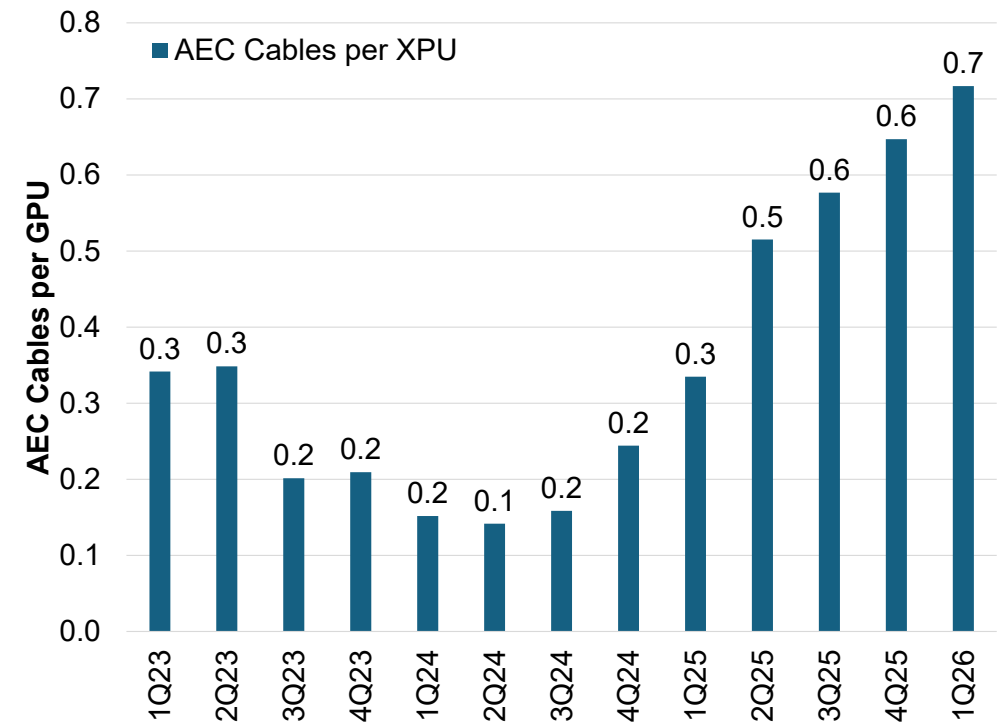
Source: Company Data, Evercore ISI Research

When comparing AEC cable counts to overall AI accelerator volumes (GPU and custom ASIC) that Credo's AEC cables per XPU deployed has steadily been increasing

CRDO mgmt has suggested that there are around 1.5 AECs per GPU in racks where AECs are utilized...

...suggesting there should be further upside potential for their per XPU attach to the overall market as they gain further penetration

Figure 28: AEC Cables per XPU Increasing as AECS Proliferate Inside AI Data Centers



Source: Company Data, Evercore ISI Research, 650 Group

Optical Deep Dive

While Active Electrical Cables represented the vast majority of revenues in FY26 (we estimate 85%), the company has projected plans to diversify meaningfully into several of its optical products – namely its Digital Signal Processing chips, its full module optical transceivers (branded ZeroFlap Optics) and its Silicon Photonics integrated circuits via recently acquired DustPhotonics. As a result, Optical revs are set to increase to >\$600m (from sub-\$100m in FY26) and we model them growing as a percentage of mix from sub-10% in FY26 to >25% by FY28.

Optical DSPs – Market Share Broadening Beyond Early Wins in Asia

While AECs represented more than 80% of Credo's overall revenues in FY2026, our sense is that it has shipped cumulatively a similar number of optical DSPs since the company inception as they have AECs (which 650 Group measures at nearing 9 million as of May-26Q) since deploying initial shipments in FY22. The company's optical DSPs are a key building block inside optical transceivers including AI clusters and hyperscaler data-centers, as well as service provider networks, enterprise networks and 5G wireless infrastructure. Our sense is much of its early success has been with the lower-end non-datacenter markets (with ASPs closer to \$10-to-\$20 vs leading-edge ASPs of \$80-to-\$100). But over the last 3-to-5 years, CRDO has broadened its DSP portfolio, spanning interconnections from 5 meters to north of 10 kilometers and rates from 50G to 1.6T (in sampling now). CRDO is on its 6th family of DSP generations:

- **Seagull (released 2020):** Credo's initial DSP family (Seagull 50) was designed for 5G front-, mid-, and back-haul 5G wireless network applications. This DSP family is dual-mode, and can be used as a gearbox (where IC is configured as 2 lanes of 25G NRZ on the host side to single lane of 50G PAM-4 on the line side) or as a retimer (single lane of 50G PAM-4 on both sides). CRDO saw strong traction in 5G wireless applications where cost-effective solutions are required. Later in 2023, CRDO expanded the Seagull family (Seagull 452) expanded target applications to include AI/hyperscaler data centers and cloud networks supporting 400G applications (8x50G PAM-4). Seagull 452 is technically CRDO's 4th-gen DSP coming after two generations of Dove (below)
- **Dove (released 2022):** CRDO's 2nd generation of DSPs came 24-months later with Dove 80x family representing its shift into 100G/lane PAM-4 DSPs for both 400G and 800G transceiver applications. While Seagull was DSP/retimer only, the Dove family came with variants that included integrated EML, Thin-Film Lithium Niobate (TFLN) and Silicon Photonics (SiPho) drivers (with external driver options also offered). And in 2024, CRDO added its 850 variant which was optimized for Linear Receive Optics where only the transmit path from the electrical input to optical line side output includes DSP for signal retiming and equalization. This offered 50% lower power than fully retimed DSP variants while also offering better bit-error rates, sensitivity, performance variation reduction and resilience relative to LPO options that were being explored at the time.
- **Lark (released 2025):** CRDO's 5th generation of DSPs. Also 100G per lane for 400G and 800G applications. In our view this was largely a refinement vs the Dove family as opposed to wholesale platform shift. The LRO variant of Lark offered sub-5W per end of power dissipation. And more broadly
- **Bluebird (released 2025):** CRDO's 6th generation of DSPs expanding to 200G/lane for 800G and 1.6T applications. CRDO abandons its N-1 strategy (where older generation DSPs were at mature 12nm) in favor of optical power dissipation, built on 3nm and power consumption well under 25W. Notably Bluebird is sold as bare die
- **Cardinal (released 2026):** CRDO's 2nd generation 1.6T optical DSP family (7th overall generation). Power dissipation claims of sub-22W for full retimed, sub-15W for LRO. Our sense is telemetry and FEC efforts have greatly improved with regards to optimizing signal-to-noise ratio, eye-quality, bit-error rate, etc. Cardinal also includes integration of EML and SiPh drivers versus Bluebird external blocks
- **Robin (released 2026):** Robin is an updated version of CRDO's 100G per lane 400G and 800G family with enhanced signal integrity, reduced power, and flexible deployment options.

Figure 29: CRDO Optical DSP Commentary Since IPO

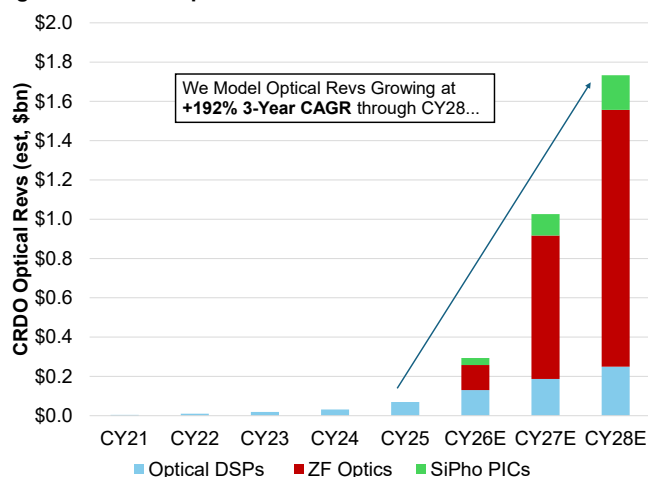
Quarter	Commentary
4QFY22	During FY 2022, we ramped initial production with several optical module customers
1QFY23	manufacturers. Began production with leading Networking OEM for 64G fibre-channel optical module
2QFY23	component from CRDO. Dove 800G and 400G DSPs with integrated drivers met with great enthusiasm
3QFY23	through JDM
4QFY23	Successfully passing qualification for 200G and 400G solutions at multiple hyperscalers with multiple optical module partners. Started production ramp of 400G optical DSP for US hypescaler . Entered coherent 100G ZR DSP market. Active engagements across fibre-channel, 5G, OTN and PON with optical partners, service providers and Networking OEMs
1QFY24	optical DSP. Designs in progress with several optical manufacturers and hyperscalers targeting next-gen 800G and 400G programs
2QFY24	customers for development and testing. Continuing fibre-channel module customer and networking OEM design movements
3QFY24	customers. 1st 800G LRO DSP partner built and tested modules. 800G solutions demoed with 5 different optical module partners at OFC
4QFY24	manufacturers both LRO and traditional full DSP. New partners considered leaders in the industry
1QFY25	Secured first design win with industry-leading module manufacturer. New hyperscaler decided to implement LRO strategy in their architecture. Optical module customers shipping AOCs and transceivers based on CRDO DSPs to both US and other geos
2QFY25	Record optical DSP revs across broad range of 50G and 100G per lane solutions, including AOCs and transceivers, supporting speeds from 100G to 800G. Sampling LRO and full DSP variants with leading optical module manufacturers. Much broader design activity at optical module level and increased qualification activity from end customers.
4QFY25	US hyperscaler in FY26. Full DSP implementation at 100G per lane, probably largest opportunity had to date from revenue standpoint. Lark LRO DSP drawing significant interest from hyperscalers prioritizing power efficiency for AI deployments
1QFY26	hyperscale end users
2QFY26	Bluebird 200G per lane optical DSPs drew significant interest and extremely positive feedback. Strong DSP growth in FY25 driven by 50G and 100G per lane deployments
3QFY26	Strong optical DSP growth in FY26 driven by 100G per lane deployments with increasing traction at 200G as customers prepare for 1.6T transitions
4QFY26	Several customer engagements specifically for optical DSPs heading into FY27. Optical DSP revenues guided to >\$100m of standalone revenues in FY27, growing at >80% YY

Source: Company Data, Evercore ISI Research

So at a high level, while CRDO's optical revenues are still sub-scale as of FY2026 (we estimate sub-\$100m), the company has been investing in its DSPs over 8 families and 6 years, and as a result we believe should be considered as a real second-source option in what has been a supply-constrained scale-out optical pluggables demand cycle over the last 18-to-24 months at multiple Chinese hyperscalers and at least one Tier-1 US Hyperscaler (we think initial customer is ORCL).

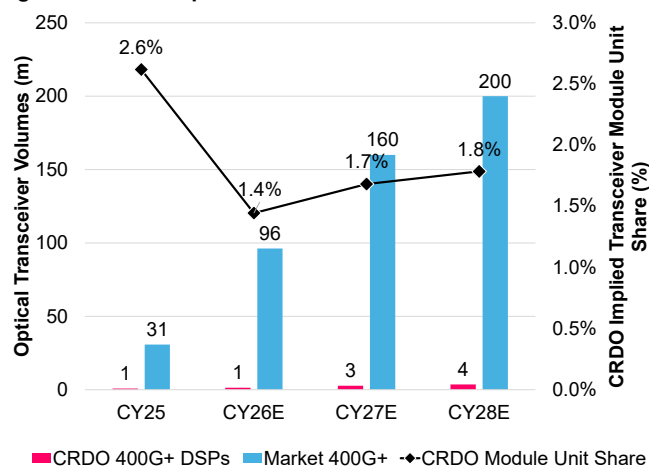
Our AI [channel checks](#) have suggested that the scale-out pluggables market is growing significantly. And below we show that CRDO can grow significantly within Optical (including its ZF Optics offering – which we cover further below) without growing any significant share as growth will be primarily driven by its ZF Optical offering which includes the entire transceiver and comes at an order of magnitude higher ASP than optical DSPs and PICs (as well as the fact that DSP/PIC revs will mix up towards high-end AI DC applications vs historically low-end 5G).

Figure 30: CRDO Optical Revs - EVR ISI Ests



Source: Company Data, Evercore ISI Research

Figure 31: CRDO Optical Module Share – EVR ISI Ests



Source: Company Data, Evercore ISI Research estimates

DustPhotonics – Who Makes the Light? Shifting into Photonic IC's

DustPhotonics was a fabless Israeli startup that was founded in 2017 by a 4-person team including:

- Yoel Chetrit (Chief R&D Officer / CTO) – came from Intel's Photonics Technology lab, where he worked directly on silicon Mach-Zehnder modulators and Wavelength-Division Multiplexing (WDM) chips under Mario Paniccia's group. He is the device-physics engine of the company and the public face of the Low-Loss-Laser Coupling (L3C) and Tamar Messaging
- Ben Rubovitch (founding CEO) – from Mellanox and Amphenol TCS, with a manufacturing and operations background. He ran the early transceiver business before Dust's 2021 pivot to merchant PICs, when Ronnen Lovinger (ex-Mellanox SVP of Operations, ex-Innoviz COO) took over as CEO
- Dr. Kobi Hasharoni and Amir Geron – from Compass Networks

And of equal importance, DustPhotonics Chairman and lead backer was Avi Willenz – one of Israel's most successful Semis founders & investors (previously building and selling Habana Labs to INTC and Annapurna Labs to AWS, Galileo Technology to MRVL).

In April of this year (2026), CRDO acquired DustPhotonics for \$750m in cash plus 0.92m worth of shares (worth \$223m as of Jun-10th, unclear when shares will be allocated) and another 3.2m worth of share award upside based on undisclosed financial milestones (nearly \$780m worth as of Jun-10th).

As for strategic rationale, the deal address one of the main bear arguments that had been that the long-term shift from copper to optics would narrow CRDO's role in the networking stack.

CRDO sizes the SiPho PIC market as \$6bn by 2030 and management has noted that DustPhotonics looked like an attractive fit within the broader SiPho market due to 1) relatively material existing design wins at key hyperscalers as a standalone PIC provider (we believe AMZN is at least one of them) and 2) PICs are the 2nd largest component within the bill-of-materials for the transceiver, giving CRDO a way to further expand its Gross Margins for its ZF Optics offering.

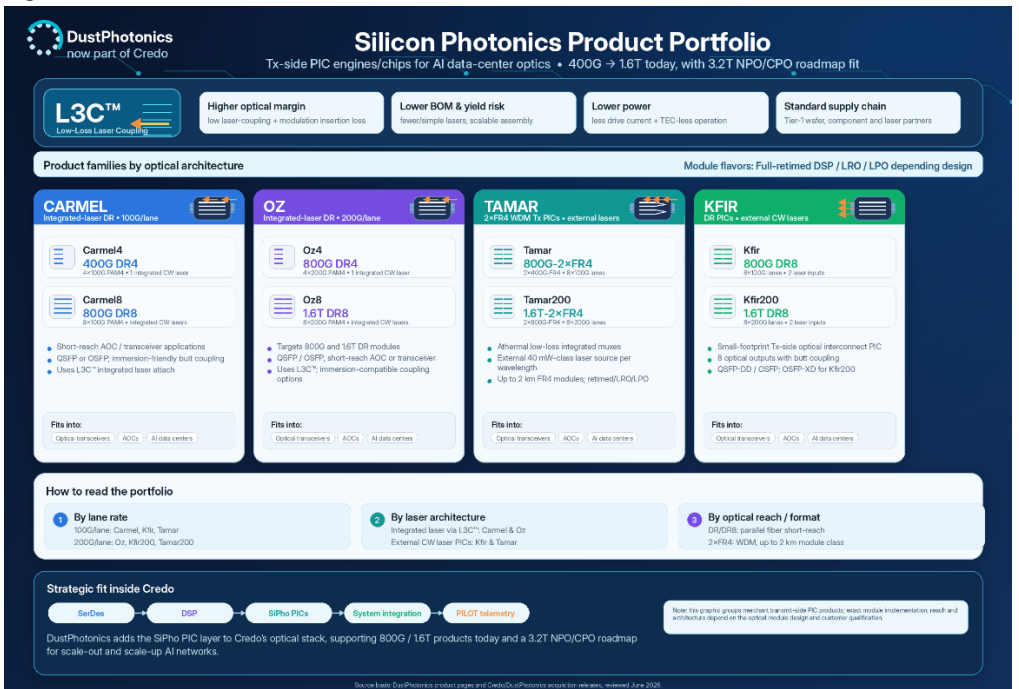
We find it notable that CRDO's strategy for Optical is seemingly mirroring its successful Copper strategy – in that it believes the best way to penetrate in a meaningful way is to offer a vertically stacked offering. Post-deal, the company now has SerDes, DSP and Silicon Photonics PIC that it can incorporate into its ZF Optics modules which will be manufactured by 3rd party contract manufacturing partners.

From a technology perspective, DustPhotonics offers 224G and path to 448G per-lane PAM-4 data-rates, utilizes 2 external CW lasers which are butt-coupled directly onto the PIC (rather than using free-space optics) giving lower optical loss and better yields at volume and utilizing just 2 lasers (vs traditionally 8, or 75% reduction). From a power dissipation standpoint, our sense is Dust can achieve 4pJ/bit for host SerDes, 3pJ/bit at Electrical-to-Optical conversion. We expect early revenue ramp (where mgmt has highlighted >\$100m in FY27) to be largely via standalone PIC sales (as our assumption would be it will take the standard 6-to-9 months minimum to pass reliability / qualification for inclusion within ZF Optics). But longer-term, we see revs expansion as Dust sales come from standalone as well as integrated solutions.

Beyond pluggables, our sense is that DustPhotonics will also give CRDO a place at the table for NPO applications currently being explored by hyperscalers. Our channel checks have suggested that hyperscalers prefer NPO over CPO and that NPO has the potential to be a durable form-factor as opposed to simply a bandaid solution before CPO is production-environment ready. Some advantages for NPO include: 1) PIC and connector taken off substrate, making yield/reliability easier, 2) lack of need for new modules & substrates that will exist in CPO, 3) a broader ecosystem (i.e., not having to negotiate with just NVDA and AVGO).

On the capacity front, we believe DustPhotonics will prove to be relatively well positioned given its 1) 75% reduction in laser requirements vs traditional competitors, 2) foundry partner TSEM bringing on significant SiPho capacity in the next 12-to-18 months, 3) use of standard CW lasers less constrained vs EML and 4) their 3 Contract Manufacturing partners are companies they have already worked with historically in DSPs.

Figure 32: DustPhotonics Product Portfolio Overview



Source: Company Data, Evercore ISI Research

ZeroFlap Optics – Bringing Systems Solution Approach to Optical Market Entry

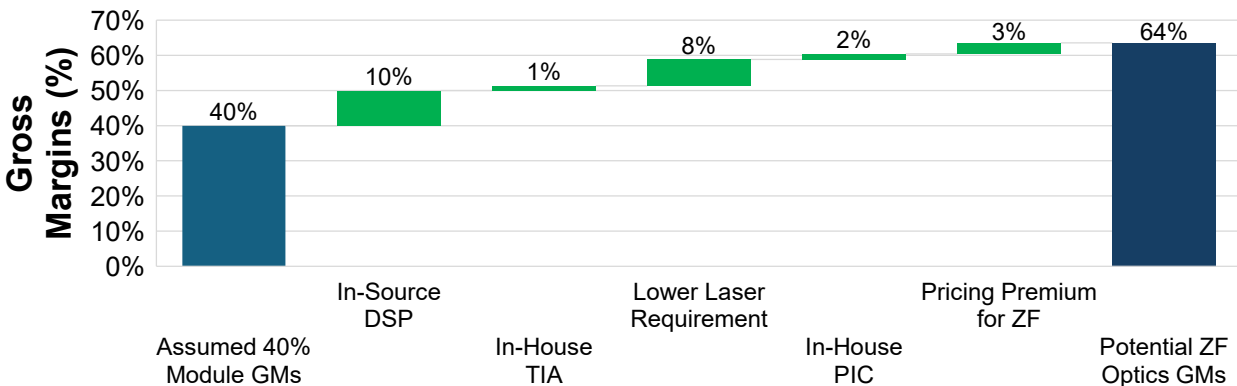
We believe ZeroFlap Optics is Credo's true north star in the Optics domain – as clearly management's strategy has been centered on one where a full systems approach enables them to strike closer direct relationships with hyperscale customers, leading them to understand what sources of innovation are necessary, drives a single-throat-choke dynamic that hyperscalers prefer, and allows CRDO to have stronger track record from a reliability / qualification standpoint. CRDO announced its ZeroFlap (ZF) Optics branded transceiver line at OCP 2025, supporting 400G to 1.6T applications, and designed to manage and mitigate optical link flaps. A "link flap" is the nomenclature representing when links repeatedly connect and disconnect in AI back-end networks leading to cluster downtime which can force checkpoint restarts during synchronous training jobs and real revenue losses measured in GPU-hours for inferencing clusters.

CRDO's integration of its PILOT telemetry in our view is the main near-term differentiating factor. The ZF transceivers provide mission-mode link-quality monitoring such as bit-error rates, FEC histograms, multipath interference in transparent in-band messaging, enabling link management from either endpoint, on-transceiver event logging, and switch-resident PILOT streaming telemetry to monitoring agents. In short, link health diagnostics data is for the first time being introduced for transceivers (not just green light = good, red light = bad, but now yellow light = time to swap). And this telemetry should enable CRDO's transceivers to ultimately be "zero flap" from the perspective that they can be swapped out before flaps occur.

On the **commercial front**, management has noted that TensorWave (AMD-exclusive AI cloud) is deploying ZF AECs and Optics across its next-generation cluster builds (8,192 Mi325 GPUs online with larger Mi355x deployments across several new DCs amounting to >2GW of capacity), Rebellions is deploying in its enterprise inferencing clusters (\$650m raised in past 6-9mos), Oracle is lead hyperscaler and at least 1 other hyperscaler and additional customers are currently ramping with ZF Optics. On the **capacity front**, CRDO entered CY2026 with nearly \$300m of supply commitments of which the vast majority are slated for its FY27 (end-May). The company has not been specific about who, but is working with 3 separate module makers and has secured capacity to hit its FY27 targets. Our guess would be that CRDO is relying on CMs who do not design their own modules but rather rely on external module designs – such as Fabrinet, Venture Corporation, Sanmina, Benchmark Electronics – as opposed to the likes of AOI, Eoptolink, Innolight who we view as more likely competitors who have less incentive to take on CRDO as a customer.

We believe CRDO's ZF Optics have already been run through the company's thermal chambers in Taiwan, where their systems teams spend weeks/months attempting myriad ways of breaking the links at various connection points (switch to module, module to module, module to NIC) in order to solve and then improve overall bit-error rates and lessen risk of missed qualification at end customers. And importantly, while transceiver Gross Margins are in the 30% to 40%, CRDO does not anticipate ZF Optics revenues to be dilutive to the company's 63% to 65% long-term Gross Margin target, as it is providing the two largest components of the BoM (DSP at \$80-to-\$100, PIC at \$40-to-\$60) at cost (\$10 or lower).

Figure 33: ZeroFlap Optical Transceiver Gross Margin Walk vs Traditional Module Margin Profile



Source: Company Data, Evercore ISI Research

FY2028 and Beyond Opportunities: OmniConnect, MicroLED

OmniConnect – Weaver Fan-Out Gearboxes

OmniConnect should be considered an architecture rather than a chip. More specifically, it is a next-gen architecture which combines ultra-efficient 112G very short-reach SerDes with a lightweight Advanced eXtensible Interface (AXI) on-chip communication protocol framer in order to deliver high-bandwidth, low-latency, and power-optimized connectivity between compute engines and memory (whether on-die, off-substrate, or across chiplets).

AXI is the native on-chip bus protocol every SoC already speaks. By framing AXI directly over CRDO's VSR SerDes, the company lets an XPU treat external resources as if they were on-die. In other words, there is no PCIe/CXL protocol stack and thus no controller latency tax. And an extension in terms of the reach possible for LPDDR5 PHYs from ~2-to-3 centimeters to ~25 centimeters thereby freeing up 75% of the beachfront / shoreline of the SoC.

The initial product on OmniConnect is Weaver – a fan-out gearbox that overcomes Memory bottlenecks in AI inference workloads as scalability, BW and efficiency demand in the datacenter continue to rise. The product was announced in November of 2025 alongside its anchor customer Positron AI. The Weaver chiplet incorporates 112G VSR SerDes, AXI framer, and an LPDDR5x PHY (as well as robust telemetry) and touts a boost to I/O density by up to 10x, enabling up to 6.4TB of Memory and 16TB/s of BW using LPDDR5x – far surpassing conventional architectures (note Vera Rubin has 288GB of HBM4 per chip). Positron is planning 864GB to 2.3TB of LPDDR5 memory per Asimov chip. CRDO has highlighted that this can offer \$2,500 to \$3,000 per chip content for the company, and Positron is planning tape-out of Asimov late 2026 with production early 2027.

Longer-term, CRDO has suggested there will be additional use-cases for OmniConnect including:

- **Hyperscaler XPU Second Memory Tiers:** Inference economics are increasingly dominated by KV-cache and model-weight capacity, not FLOPs (i.e., not compute). Every custom XPU program faces the same HBM rationing that pushed Positron to LPDDR. Weaver's pitch generalizes: keep HBM for hot data, hang TBs of commodity DRAM off VSR lanes for warm data. A single hyperscaler adoption would dwarf the initial Positron opportunity by an order of magnitude.
- **Scale-Up Fabric:** Because OmniConnect carries AXI – memory semantics rather than packet semantics – it can connect multiple compute engines via external chiplets for scale-up Networking. We believe this positions CRDO quietly in same architectural conversation as UALink and NVLink Fusion, but with a lighter-weight, lower-latency proprietary approach suited to Inference appliances and smaller scale-up domains.
- **MicroLED Combination:** As discussed in more detail below, we would expect Weaver gearboxes to play a role in converting VSR signaling to microLED should ALCs be adopted in the datacenter

MicroLED / Active LED Cables via Hyperlume

CRDO closed the acquisition of privately held Hyperlume, a developer of microLED-based optical interconnect technology for chip-to-chip communication in September 2025 for \$92m in cash. Hyperlume was founded in 2022 in Ottawa. On the technology front, MicroLED promises the replacement of expensive, failure prone InP lasers with arrays of tiny LEDs driving many slow, parallel lanes instead of a few fast serial ones. Hyperlume's approach uses specialized ultra-fast microLEDs and low-power circuitry to overcome bandwidth limitations in traditional electronic interconnects.

The pitch in short: combining CRDO connectivity solution expertise with the new microLED technology from Hyperlume delivers AEC-class reliability in 75% thinner optical cable, reaching up to 30 meters, making them ideal for row-scale AI connectivity where traditional pluggable optics adds cost, power, and reliability risk. Peers such as Avicena have touted Bit-Error Rates of $1e^{-12}$ (our sense is above $1e^{-10}$ is considered production possible) and power dissipation

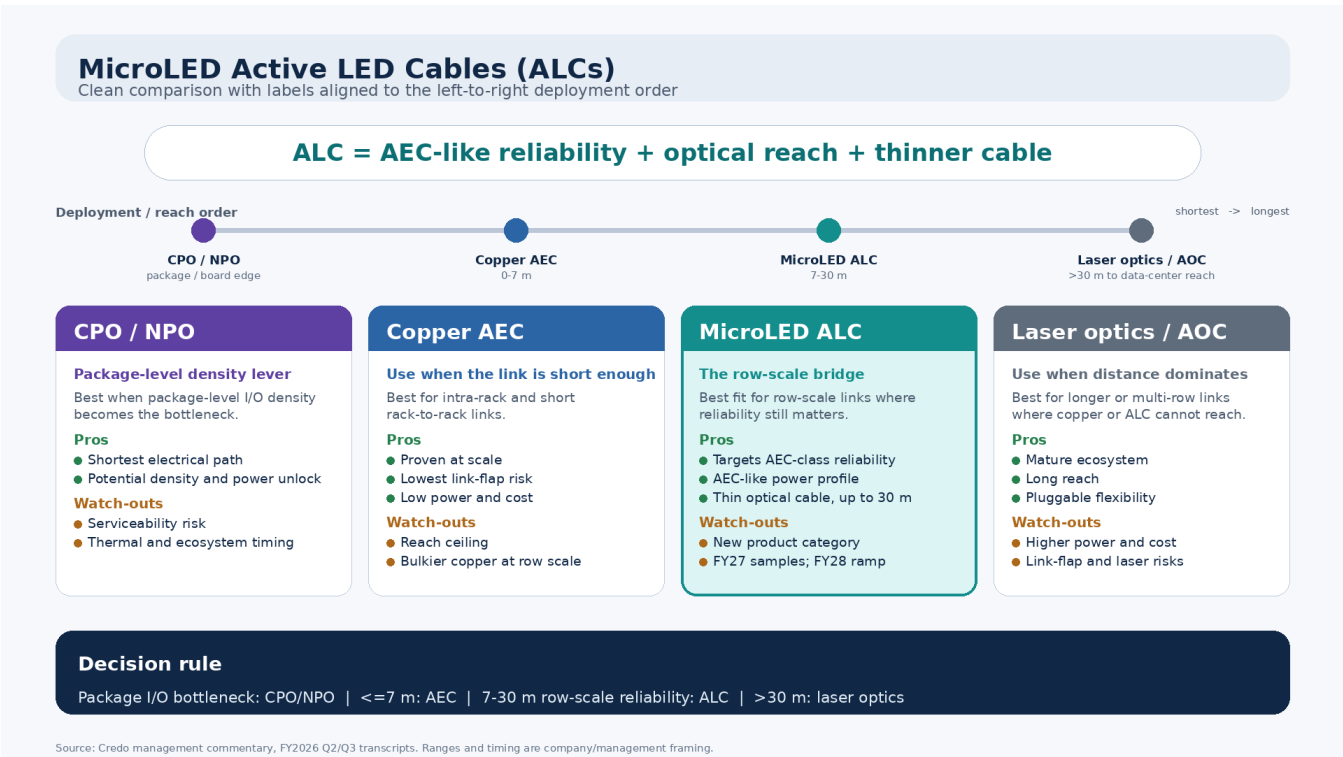
sub-1pJ/bit (better than active copper). And LEDs as a technology degrade gracefully vs DFB lasers failing hard – offering in some ways an inherent ZeroFlap capability.

Our expectation is that CRDO's ALCs will see public demos by OCP 2026 at earliest with initial production ramp (assuming successful demo and design wins) in the FY28 timeframe with more meaningful volumes unlikely before FY29. CRDO has suggested that the ALC TAM can be more than 2x the AEC TAM – which as a reminder 650 Group sizes at \$4bn by 2030 and CRDO has been cited to suggest other 3rd party forecasts peg in the \$5bn to \$10bn range. Our sense is this size of market would require considerable scale-up contribution – as CRDO has suggested that ALCs in combination with OmniConnect VSR (very short-reach) SerDes signaling and gearbox solutions can offer a more reliable and lower power approach to scale-up.

From a competitive standpoint, we would frame Hyperlume as a fast follower. Avicena's LightBundle platform uses 100s of blue microLEDs and imaging fibers and in May of 2025, TSMC partnered with Avicena to manufacture microLED-based interconnects (using TSM's CMOS image sensor processes to produce Photodetector arrays). Mojo Vision is also a notable player, who has undergone a joint project with Marvell (our sense is for Google). Ams OSRAM (recently acquired by IFX) also offers microLED arrays. And Microsoft in collaboration with MediaTek is exploring the technology (and in our view is the most likely to adopt but not until Maia 400 timeframe).

Overall, we view this as a nascent category, with no microLED datacom links shipped in high volume production anywhere of yet. But will monitor technology progress over time before modeling any significant revenues (modeling just \$10m in FY28).

Figure 34: Putting MicroLED / ALC into Perspective



Source: Company Data, Evercore ISI Research

Channel Checks with More Than Dozen AI Engineers

We hosted checks with nearly 20 AI, Networking & Cabling engineers on a series of topics related to Credo – including AECs, optical DSPs, NPO, CPO, Silicon Photonics, microLEDs and gearbox applications for emerging inferencing ASICs. Throughout the checks, reliability (rather than raw bandwidth) was a recurring theme – with Hyperscalers and Neoclouds describing link reliability as the binding constraint on a usable cluster size. We view this as the main structural tailwind under CRDO's entire portfolio (AECs, ZeroFlap Optics, PILOT). The copper vs optics debate is a timing question, and notably the checks were quite aligned in their view: copper (and with it AECs) will stay in-rack at least through 200G per lane (1.6T applications) with scale-up Optics (CPO) broadly a 2028 or beyond story. Longer-term risks surfaced include 1) 400G per lane copper ceiling, 2) future NVDA rack midplanes have the potential to absorb in-rack cabling, and 3) whether CRDO optics/PIC entry can earn merchant margins vs commodity margins.

Overall, CRDO's edge was consistently described as its system approach (owning SerDes/DSP silicon, telemetry, switch-side software, end-to-end cables/transceivers). Multiple sources call switching vendors a massive technical risk once the firmware has been vetted in live clusters thus offering CRDO strong incumbency position in AEC franchise but perhaps leading to harder-to-come by share in the Optical domain.

More detailed takes include....

AEC Demand Appears Healthy Through 800G and Into 1.6T

- Cable-assembly vendors confirm a real demand shift from passive DAC to AEC at 800G: DAC reach forces cables to become too thick (26 AWG). One hyperscaler noted to try their hardest to stick with DAC but failed to deploy reliable 800G DAC, ultimately shifting orders to AEC (our sense is this was META which has quite recently become a 10% customer)
- From an attack-rate standpoint, 1.5 AECs per GPU/ASIC has been largely blessed by industry experts
- Passive copper cables cost roughly \$100 vs AECs \$900 but AOCs closer to \$3,600 to \$4,000
- AEC pricing has historically been around 2x DAC, but may move lower as competition increases
- 400G AECs have become more commodity-like, while 800G is currently in mass production, and 1.6T should carry premium pricing
- 5W per data link for AEC at 800G
- CPO may be eventually lower, possibly 2.5W-5W per link, but Silicon Photonics / fiber-optics on chip is materially more expensive and less serviceable
- Optics needs to get to <4 pJ/bit energy efficiency and <\$0.10/Gb cost to meet copper/AEC benchmark
- At 25G/lane, copper can reach around 7-meters, which goes to 3-meters at 50G/lane and sub 3-meters for 100G/lane and beyond
 - And at 200G/lane, 3-meter reach requires a much more complex DSP-type approach
- For certain storage-adjacent use-cases at 100G/lane, AECs can reach 7 meters, enabling 5-to-6 racks in certain architectures
- But most common use-cases are those stretching from a few feet to 5 meters, typically within a rack or across nearby racks
 - AOCs/optics more relevant for 10s or 100s of feet interconnects
- Passive DAC at 400G can only reach 1.5-to-2.5 meters, barely top-to-bottom within a rack
- Long-term scale-up optics could target 20-to-50 meters (or perhaps up to 70-meters), beyond the practical domain of AECs

- Hyperscalers value AEC for the flexibility optics lacks – lane-splitting / speed shifting (i.e., 400G to 800G via Y-connector)
- Several neoclouds suggest line of sight to CRDO product cycles through to 2030 with penetration rising vs both AOC and passive DAC
- CRDO creates its own island via full systems approach – owning chip, selling end-to-end cable directly to hyperscalers (single throat to choke). Rivals like APH, Molex, TEL buy AVGO, MRVL, ALAB chips and pitch customers on chip diversity / dual-sourcing
- AECs not expected to make the jump to 3.2T
- ACC demand is isolated to Asia hyperscalers and GOOG – to-date broader adoption seen as unlikely but GOOG success could possibly change the dynamics
- Whereas for large centralized training systems with very long reaches (likely dominated by single-mode optics), AECs fit better in inference, storage, top-of-rack, short-row architectures

■ **Customer by Customer Nuggets:**

- AMZN: Long-standing relationship, scale-and-cost driven adopter. AMZN logic is get to scale on AEC cables in order to drive down expense per cable. Transitioning from DAC to AEC even at lower speeds (400G) and pressing CRDO hard on price through its commodity procurement teams. Trainium-3 should drive higher volumes in 2H CY2026.
- MSFT: Stable relationship – MSFT mainly using for enterprise/general-purpose servers (and has been for multiple generations). CRDO is incumbent (and very likely 100% share position), with feedback suggesting CRDO valued for its strong serviceability, clean yield/supply track record. Some exploration of alternative technologies including microLED for scale-up, and Quantum-X CPO for scale-out.
- xAI: Flagship AEC adopter at its Colossus cluster (200k GPUs) where xAI has fully ramped 100G per lane AECs. Some suggestions that AEC usage may see pullback/shift to optics at 1.6T as AOC pricing has fallen recently, however CRDO mgmt feedback suggests fears are overblown and perhaps function of timing. Moreover, xAI lacks strong in-house NWing expertise, and shift to optical may very well continue to sit primarily w/ CRDO
- META: Initially became AEC convert at 800G, after trying very hard to stick with DAC. Certain checks suggest that META has reduced its AEC program, cancelling one platform's AEC use entirely while another stays alive (our sense is main AI back-end program intact vs switch-to-switch shifting)
- ORCL: Current scope is 400G and 800G AEC, 1.6T not there yet
- GOOG: Does not use AECs, uses all DAC today, ACC possible in future (AEC not being considered)
- Tier-2 Neoclouds: Checks suggest that neoclouds can carry meaningful CRDO content and were amongst the earliest AEC adopters before major hyperscalers scaled in. Neoclouds tend to take NVDA reference design first (which leans optics) with AEC as a second-wave cost-optimization play

■ **CRDO AEC Positioning**

- Remains category creator, incumbent leader
- Combination of hardware, firmware, software, telemetry been vetted in large AI clusters, making switching costs high & risky
- Customers that already adopted CRDO AECs tend to remain, supporting pricing and share retention
- CRDO has a cost/pricing advantage vs competitors that collaborate with cable vendors, given that chip-cost can amount to \$300 (2 \$150 chips per cable on average)
- CRDO also has an advantage from its ability to hit required performance using older process nodes, lowering cost vs competitors using more expensive nodes

- Share estimated to be around 70% (vs 650 Group 78% as of 2025)
- Several believe share can remain in the 70% range
- Though some are more cautious saying that AVGO, MRVL, ALAB all want to take share, and that hyperscaler supply-chain teams will push their R&D teams to qualify second sources
- MRVL described as one of leading alternatives, ALAB seen to have surprisingly strong CSP relationships, AVGO still early on in its foray into AECs
- ALAB, MRVL, AVGO are selling chips to multiple cable assembly vendors, which may appeal to hyperscalers that want to negotiate cable pricing across multiple assembly partners
- From a SerDes perspective, CRDO seen behind AVGO, MRVL, NVDA
- While SerDes not seen as structurally unique per se, the telemetry is seen as a key advantage

Optical DSPs – Market Demand Robust, Share Gains Not Needed

- Demand for discrete optical DSPs is structurally supported – every 800G and 1.6T pluggable module needs DSP, MRVL & AVGO currently seen as supply bottlenecks given high volume build-plans (800G and 1.6T modules surpassing 150m in 2027)
- Optical DSPs are in very tight supply, wait times moving to years instead of months
- DSP race increasingly 3nm game, while CRDO still at 5nm, moving to 3nm seen as catalyst for becoming stronger third source
- Mixed feedback on Zero Flap Optics
 - Some suggest optical link flaps are inherent physics-/system-level problem
 - Others note that through telemetry, DSP, SW, real-time adjustment of power/timing/signal parameters, CRDO can enable ZeroFlap capabilities
 - CRDO was early to build telemetry into the DSP, but AVGO and MRVL can add telemetry in future spins, potentially within 6-months
- CRDO may find opening through partners such as Eoptolink
 - Recently demoed using CRDO's half-retimed 1.6T DSP
- Existing relationships will matter however (GOOG + Innolight, META + AVGO, NVDA increasingly internal, AMZN + MRVL)

Optical Modules / ZeroFlap Transceivers

- ZeroFlap “reality” received mixed feedback – several consider to still be more marketing than legitimate, but more than one hyperscaler highlighted that ZF Optics offers a real advantage because CRDO owns the DSP + telemetry + switch-side software to monitor and adjust laser health in real-time vs rivals who lean on open-source (SONiC) telemetry
- Our sense is ORCL is a legitimate opportunity and has build-plans for 5m+ 800G DSPs in 2026 followed by 6.5m-to-7m in 2027
- Largest challenge will be manufacturing bring-up of actual modules themselves both from yield and scale standpoint

DustPhotonics / Silicon Photonic PICs

- Strong strategic rationale, giving CRDO two key optical building blocks: 1) SiPho modulators/photodetectors, and 2) wavelength-multiplexing capability
- CRDO potentially can address DR4-type 500 meter transceivers and 2 kilometer transceivers by multiplexing four laser colors into a single fiber

- DSP costs can be meaningfully lower than industry's typical \$100-to-\$150 DSP cost component, perhaps closer to \$20
- \$750m paid likely to have reflected real customers or revenues
- Challenge moving forward will be manufacturing scale of transceivers
- Fiber-to-chip coupling remains a major issue that acquisitions such as Molex/Teramount + Astera Labs/aiXscale suggest companies are trying to acquire know-how, and DustPhotonics touted low-loss coupling capabilities may fit that mold
- Seems AMZN has historically used Dust from standalone PIC perspective
- CW laser usage offers way to side-step EML supply lock-up (and CW lasers notably cheaper vs EML by ~\$100 per laser)
- SiPho continues to struggle with 400G per lane – and seen as a research question
- Dust excels in power efficiency – lags only AVGO

Hard to Take Share from ALAB in PCIe Retimers

- ALAB remains gold-standard in PCIe retimers, already in production at PCIe Gen-6 vs CRDO's Dove/Seagull PCIe retimers only in beta/early production
- Same stickiness that helps CRDO in AECs will help ALAB in PCIe retimers, namely: qualification, firmware/software stack, telemetry, switching costs

MicroLED / Hyperlume Expectations Remain Low

- MicroLED operates in the 2-to-3G/lane, meaning that 1T links would require up to 500 fibers, which will create rigid cables, difficult handling, lack of patch-panel flexibility, optical crosstalk risk across 100s of densely bundled fibers
- Remains unproven and thus long-term opportunity in nature
- Skepticism is high given that all vendors are in research/sampling mode
- Need for 500 imaging fibers per 1TB link expected to lead to rigid cables and unstudied optical crosstalk

Quick Nuggets on Gearbox Use-Cases

- If data coming out of GPU is at lower-rates, say 32G/s and must be transmitted optically at 100G, 112G, 200G, then a gearbox/muxing function is needed
- If gearbox sits in the optical engine rather than the GPU, it may require advanced-node electronics
- If GPU already performing the conditioning, the optical engine may only need analog amplification, driver & TIA capability

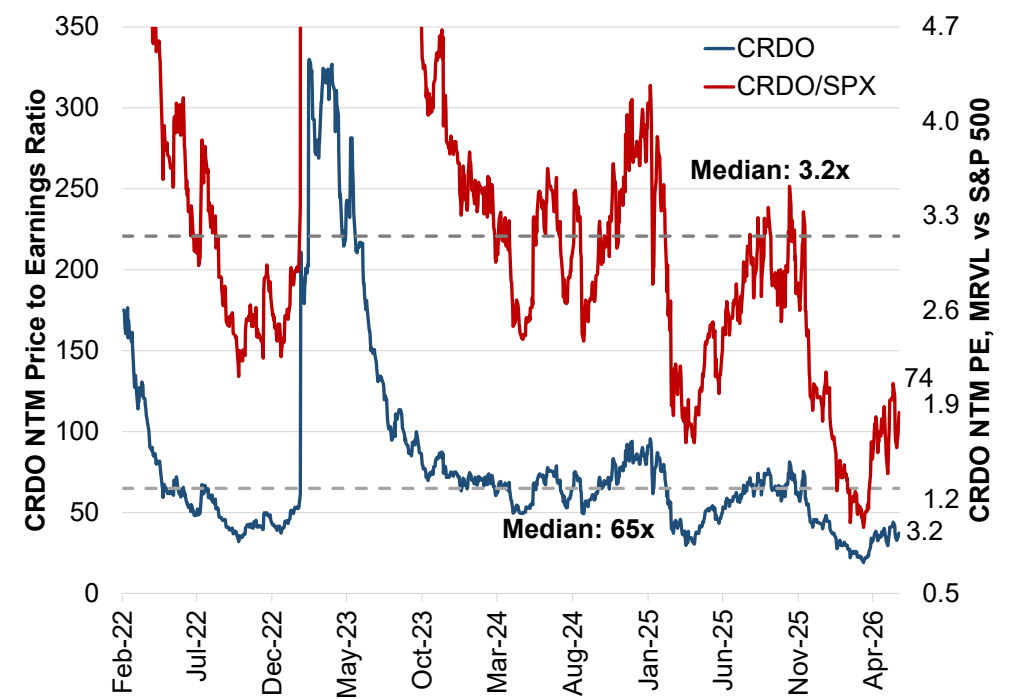
Valuation & Price-Performance Considerations

CRDO currently trades at 37x NTM P/E vs median P/E since coming public of 65x – or a 41% discount

Relative to the S&P 500, CRDO currently trades at 1.8x or 42% discount vs median since coming public of 3.2x

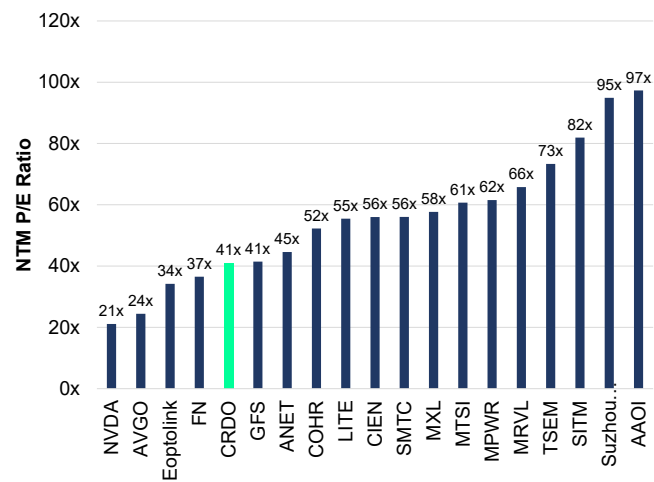
When compared to peers in the Networking & Optical markets, we show that CRDO currently trades near the low-end on NTM P/E basis but on higher-end on EV to NTM Sales basis

Figure 35: CRDO Trading at 38x NTM P/E and 1.8x Relative P/E vs S&P 500



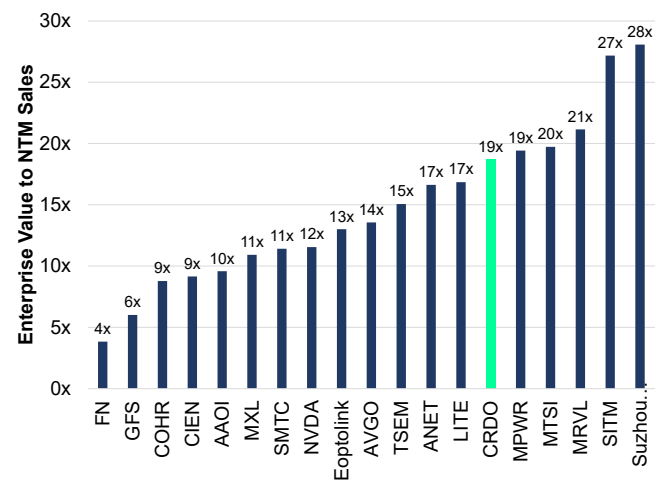
Source: Company Data, Evercore ISI Research, FactSet, as of 6/16/2026 intraday

Figure 36: CRDO Near Lower End on NTM P/E



Source: Company Data, Evercore ISI Research, FactSet, 6/16/2026

Figure 37: CRDO Near Higher End on EV to NTM Sales



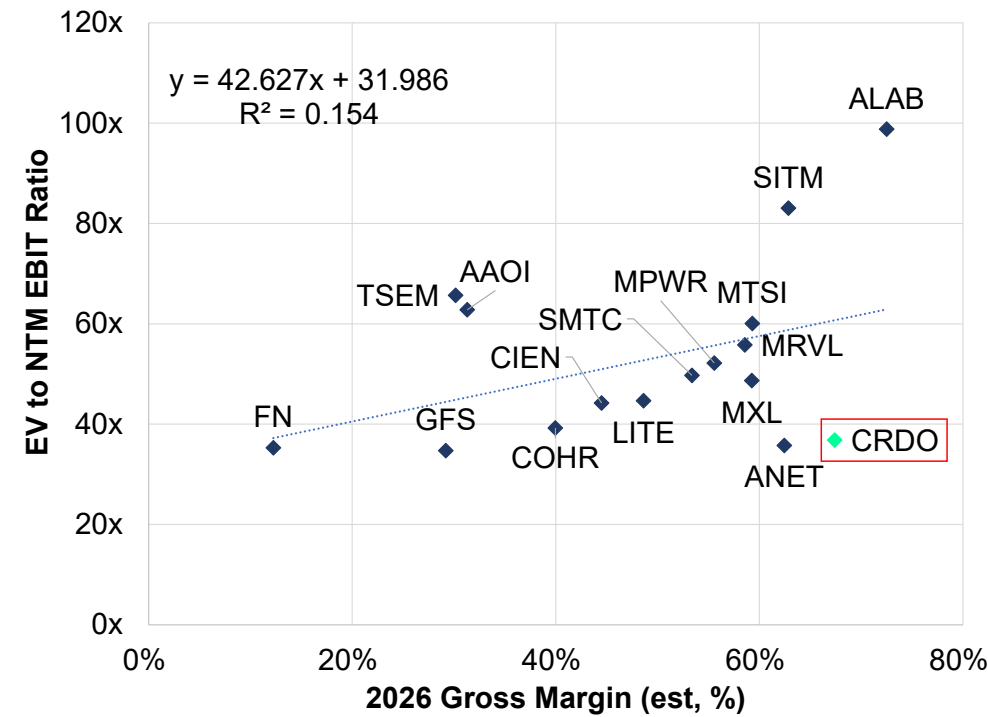
Source: Company Data, Evercore ISI Research, FactSet, 6/16/2026

While only at an R-squared of 15% we show that CRDO is below trendline in terms of EV to EBIT relative to Gross Margin profile

Removing CRDO from the analysis brings the trendline closer to 25%

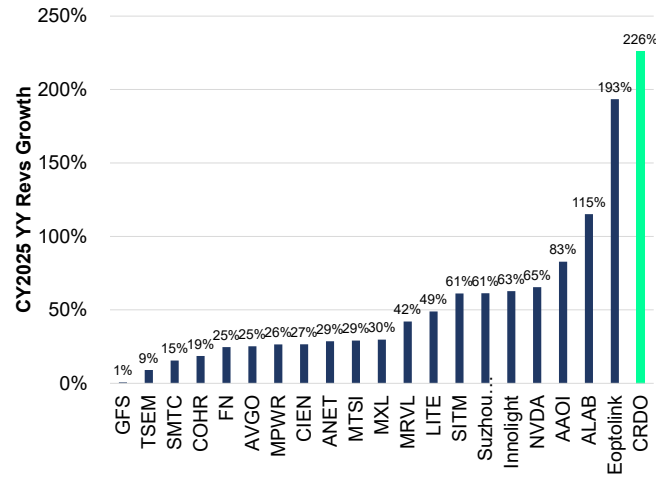
In the charts below, we show that CRDO was the highest growth company on both revs and EPS front across its peer set

Figure 38: CRDO Below Trendline of EV to EBIT vs Gross Margin



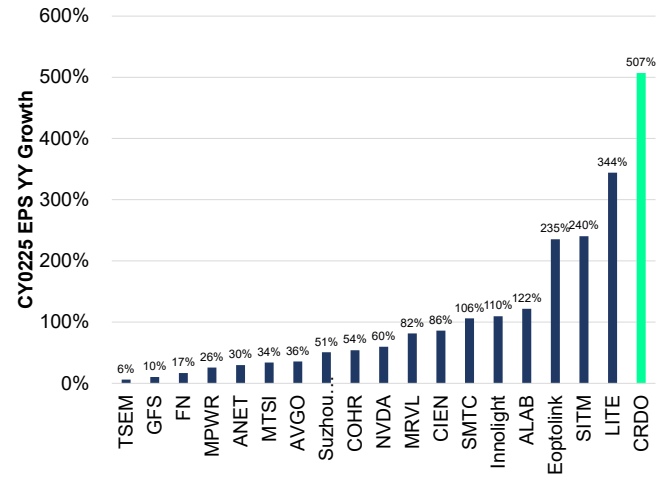
Source: Company Data, Evercore ISI Research, FactSet, 6/16/2026

Figure 39: CRDO Highest YY Growth in CY25 Revs Among Peers



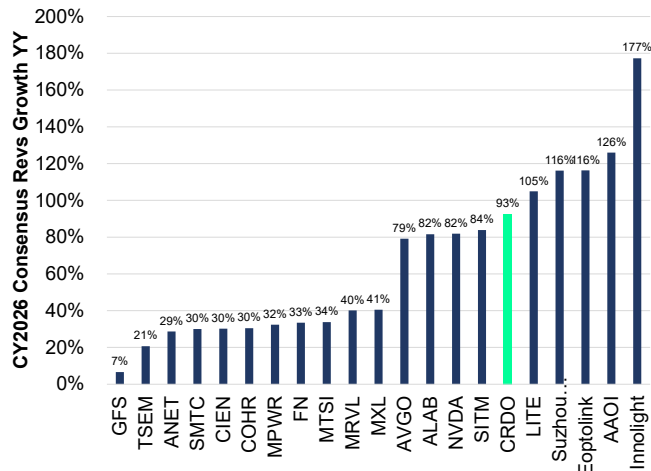
Source: Company Data, Evercore ISI Research

Figure 40: CRDO Highest YY Growth for CY25 EPS Among Peers



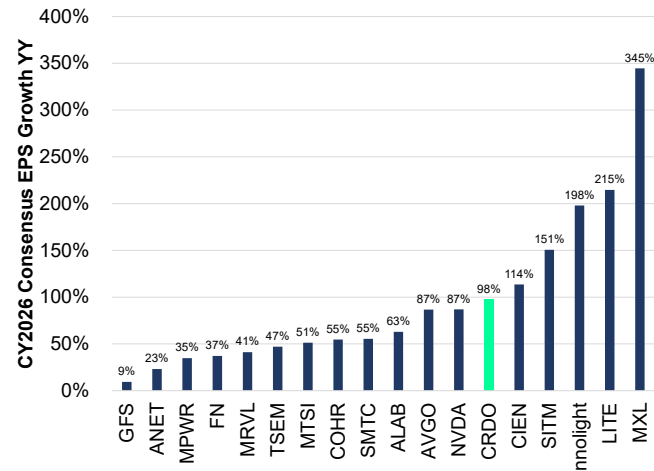
Source: Company Data, Evercore ISI Research

Figure 41: Near High-End of CY2026 YY Revs Expectations



Source: Company Data, Evercore ISI Research, FactSet, 6/16/2026

Figure 42: Near Higher End of CY2026 YY EPS Expectations

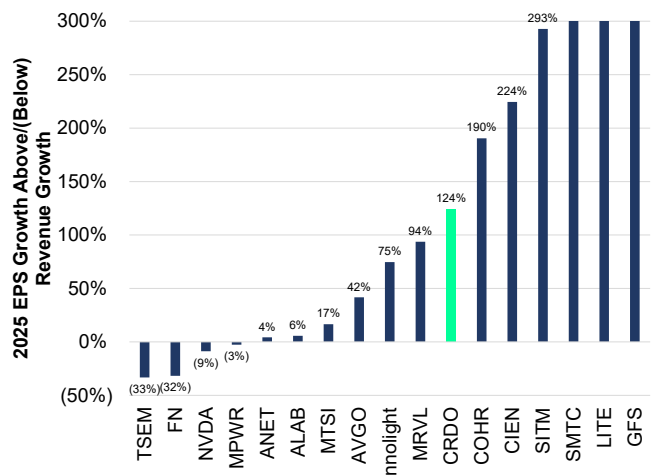


Source: Company Data, Evercore ISI Research, FactSet, 6/16/2026

In the charts above, we show that CRDO remains amongst the highest growing company within its peer-group on both a top- and bottom-line basis. And as our model shows, we believe estimates are too conservative.

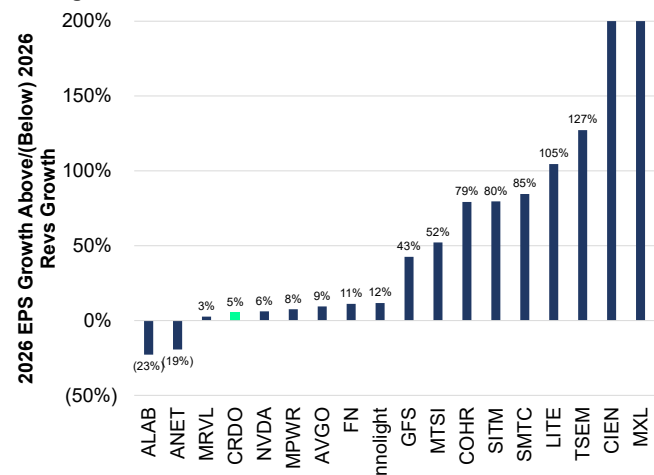
In the charts below, we compare top line growth to EPS growth in order to demonstrate earnings leverage. In CY2025, CRDO was amongst the highest earnings leverage companies with EPS growth outpacing revs by >100%. However, when looking at CY2026 estimates, minimal earnings leverage is assumed. We believe this will prove to be untrue, as Gross Margins are unlikely to fall materially as higher AEC GMs amid improved scale will offset lower Optical GMs as ZF Optics ramps in mix, as Optical headwinds are less pronounced than modeled given that CRDO internally sources the highest BoM components of transceivers. And OpEx should sustain at 1/2 rate of revenues. So, we believe EPS estimates should be higher even at equivalent revenue levels.

Figure 43: CRDO Earnings Leverage Ranked Above Average in CY2025



Source: Company Data, Evercore ISI Research, FactSet

Figure 44: CY2026 Implies Material Slowdown in Earnings Leverage – We Think Unwarranted



Source: Company Data, Evercore ISI Research, FactSet

CRDO Income Statement

Figure 45: CRDO Income Statement

Credo Technology Group Holding Ltd															
\$ in millions	FY2026				FY2027E				FY2028E				FY2029E		
	Aug-25 1Q	Nov-25 2Q	Feb-26 3Q	May-26 4Q	Aug-26 1QE	Nov-26 2QE	Feb-27 3QE	May-27 4QE	Aug-27 1QE	Nov-27 2QE	Feb-28 3QE	May-28 4QE	Aug-28 1QE	Nov-28 2QE	Feb-29 3QE
INCOME STATEMENT															
Revenues	\$223.1	\$268.0	\$407.0	\$437.0	\$470.0	\$592.2	\$724.6	\$870.3	\$963.3	\$1,062.0	\$1,184.3	\$1,264.8	\$1,279.8	\$1,298.3	\$1,299.3
QoQ	31.2%	20.2%	51.9%	7.4%	7.6%	26.0%	22.3%	20.1%	10.7%	10.2%	11.5%	6.8%	1.2%	1.4%	0.1%
YoY	273.6%	272.1%	201.5%	157.0%	110.7%	121.0%	78.0%	99.2%	104.9%	79.3%	63.4%	45.3%	32.9%	22.3%	9.7%
Cost of Goods	72.4	86.6	127.8	138.6	154.5	202.3	250.5	297.0	328.8	360.4	399.4	430.1	438.1	446.8	450.1
Gross Profit	\$150.7	\$181.4	\$279.2	\$298.4	\$315.5	\$389.9	\$474.1	\$573.3	\$634.5	\$701.6	\$784.9	\$834.7	\$841.8	\$851.5	\$849.2
Gross Margin	67.6%	67.7%	68.6%	68.3%	67.1%	65.8%	65.4%	65.9%	65.9%	66.1%	66.3%	66.0%	65.8%	65.6%	65.4%
Incremental GM	68.2%	68.2%	70.4%	64.0%	51.8%	60.9%	63.6%	68.1%	65.8%	67.9%	68.1%	61.9%	46.9%	52.6%	(222.3%)
R&D	33.3	33.0	48.1	52.1	57.0	64.4	71.6	81.2	87.0	92.9	100.1	104.6	105.4	106.4	106.5
SG&A	21.2	24.3	29.3	29.2	31.0	33.0	34.9	36.6	37.6	38.6	39.7	40.3	40.5	40.6	40.6
Total Opex	54.5	57.3	77.4	81.3	88.0	97.4	106.5	117.8	124.6	131.5	139.7	144.9	145.9	147.0	147.1
Operating Income	\$96.2	\$124.1	\$201.8	\$217.1	\$227.5	\$292.5	\$367.6	\$455.5	\$509.9	\$570.1	\$645.2	\$689.8	\$695.9	\$704.4	\$702.1
Operating Margin	43.1%	46.3%	49.6%	49.7%	48.4%	49.4%	50.7%	52.3%	52.9%	53.7%	54.5%	54.5%	54.4%	54.3%	54.0%
Incremental OM	63.5%	62.1%	55.9%	51.0%	31.7%	53.2%	56.7%	60.3%	58.5%	60.9%	61.4%	55.4%	40.6%	46.3%	(228.5%)
Non-Operating Income/(Expense), net	3.9	4.9	9.5	12.1	6.0	8.0	10.0	14.0	17.5	22.5	28.5	35.0	42.0	50.0	58.0
Profit Before Taxes	\$100.1	\$129.0	\$211.2	\$229.2	\$233.5	\$300.5	\$377.6	\$469.5	\$527.4	\$592.6	\$673.7	\$724.8	\$737.9	\$754.4	\$760.1
Taxes	1.9	1.2	2.4	2.2	4.7	6.0	7.6	9.4	21.1	23.7	26.9	29.0	44.3	45.3	45.6
Net Income Non-GAAP	\$98.3	\$127.8	\$208.8	\$227.0	\$228.9	\$294.5	\$370.0	\$460.1	\$506.3	\$568.9	\$646.7	\$695.8	\$693.6	\$709.2	\$714.5
EPS Non-GAAP (incl SBC)	\$0.33	\$0.43	\$0.80	\$0.90	\$0.90	\$1.19	\$1.52	\$1.93	\$2.15	\$2.45	\$2.82	\$3.00	\$2.96	\$3.00	\$3.00
EPS Non-GAAP	\$0.52	\$0.67	\$1.07	\$1.16	\$1.15	\$1.47	\$1.82	\$2.24	\$2.45	\$2.72	\$3.07	\$3.27	\$3.23	\$3.27	\$3.26
EPS - GAAP	\$0.34	\$0.44	\$0.82	\$0.88	\$0.92	\$1.21	\$1.55	\$1.96	\$2.18	\$2.49	\$2.86	\$3.05	\$3.01	\$3.05	\$3.05
Fully Diluted Shares (Non-GAAP)	188.9	190.6	194.9	195.9	199.0	201.0	203.0	205.0	207.0	209.0	211.0	213.0	215.0	217.0	219.0
Percent of Sales															
R&D	14.9%	12.3%	11.8%	11.9%	12.1%	10.9%	9.9%	9.3%	9.0%	8.8%	8.4%	8.3%	8.2%	8.2%	8.2%
SG&A	9.5%	9.1%	7.2%	6.7%	6.6%	5.6%	4.8%	4.2%	3.9%	3.6%	3.3%	3.2%	3.2%	3.1%	3.1%
Opex Total (R&D/SG&A)	24.4%	21.4%	19.0%	18.6%	18.7%	16.4%	14.7%	13.5%	12.9%	12.4%	11.8%	11.5%	11.4%	11.3%	11.3%
Taxes	1.9%	0.9%	1.2%	1.0%	2.0%	2.0%	2.0%	2.0%	4.0%	4.0%	4.0%	4.0%	6.0%	6.0%	6.0%
Net Income	44.1%	47.7%	51.3%	52.0%	48.7%	49.7%	51.1%	52.9%	52.6%	53.6%	54.6%	55.0%	54.2%	54.6%	55.0%
Sequential Change															
R&D	4.9%	(1.0%)	46.0%	8.3%	9.3%	13.0%	11.2%	13.4%	7.1%	6.8%	7.7%	4.5%	0.8%	1.0%	0.1%
SG&A	4.6%	14.5%	20.5%	(0.3%)	6.1%	6.5%	5.6%	5.0%	2.7%	2.6%	2.9%	1.7%	0.3%	0.4%	0.0%
OpEx	4.8%	5.0%	35.2%	5.0%	8.2%	10.7%	9.3%	10.7%	5.7%	5.5%	6.3%	3.7%	0.7%	0.8%	0.0%

Source: Company Data, Evercore ISI Research

CRDO Balance Sheet

Figure 46: CRDO Balance Sheet

Credo Technology Group Holding Ltd				FY2026				FY2027E				FY2028E				FY2029E											
				Aug-25	Nov-25	Feb-26	May-26	Aug-26	Nov-26	Feb-27	May-27	Aug-27	Nov-27	Feb-28	May-28	Aug-28	Nov-28	Feb-29	FY	FY	FY	CY	CY	CY	CY		
\$ in millions				1Q	2Q	3Q	4Q	1QE	2QE	3QE	4QE	1QE	2QE	3QE	4QE	1QE	2QE	3QE	2026	2027E	2028E	2025	2026E	2027E	2028E		
BALANCE SHEET																											
Assets																											
Cash & equivalents	\$220	\$568	\$1,220	\$1,165	\$595	\$780	\$1,006	\$1,332	\$1,726	\$2,187	\$2,674	\$3,269	\$3,886	\$4,547	\$5,171	\$1,165	\$1,332	\$3,269	\$1,220	\$1,006	\$2,674	\$5,171					
Short-term investments	260	246	81	278	278	278	278	278	278	278	278	278	278	278	278	278	278	278	81	278	278	278					
Accounts receivable	181	245	243	233	252	317	388	466	516	569	634	677	685	695	696	233	466	677	243	388	634	696					
Inventories	117	150	208	251	280	367	455	539	597	654	725	781	795	811	817	251	539	781	208	455	725	817					
Other current assets	26	34	34	74	74	74	74	74	74	74	74	74	74	74	74	74	74	74	34	74	74	74					
Total Current Assets	\$804	\$1,243	\$1,787	\$2,001	\$1,479	\$1,816	\$2,201	\$2,689	\$3,190	\$3,762	\$4,385	\$5,079	\$5,718	\$6,405	\$7,035	\$2,001	\$2,689	\$5,079	\$1,787	\$2,201	\$4,385	\$7,035					
Property & equipment, net	69	86	106	102	125	155	191	234	283	336	395	458	522	587	652	102	234	458	106	191	395	652					
Right-of-use assets	15	16	16	25	25	25	25	25	25	25	25	25	25	25	25	25	25	25	16	25	25	25					
Goodwill		69	71	93	593	593	593	593	593	593	593	593	593	593	593	93	593	593	71	593	593	593					
Intangible assets		17	18	29	29	29	29	29	29	29	29	29	29	29	29	29	29	29	18	29	29	29					
Other non-current assets	17	18	41	46	46	46	46	46	46	46	46	46	46	46	46	46	46	46	41	46	46	46					
Total Assets	\$905	\$1,449	\$2,037	\$2,296	\$2,297	\$2,664	\$3,084	\$3,617	\$4,166	\$4,790	\$5,473	\$6,230	\$6,934	\$7,685	\$8,380	\$2,296	\$3,617	\$6,230	\$2,037	\$3,084	\$5,473	\$8,380					
Liabilities																											
Accounts payable	55	64	94	107	120	157	195	231	255	280	310	334	340	347	350	107	231	334	94	195	310	350					
Accrued compensation & benefits	13	19	14	22	22	33	25	37	38	56	42	62	65	95	71	22	37	62	14	25	42	71					
Other current liabs	40	57	57	68	76	100	124	147	163	178	198	213	217	221	223	68	147	213	57	124	198	223					
Total Current Liabilities	\$108	\$140	\$165	\$197	\$219	\$290	\$343	\$414	\$456	\$514	\$549	\$609	\$622	\$663	\$643	\$197	\$414	\$609	\$165	\$343	\$549	\$643					
Non-current operating lease liabs	12	13	13	21	21	21	21	21	21	21	21	21	21	21	21	21	21	21	13	21	21	21					
Other non-current liabs	3	10	11	14	14	14	14	14	14	14	14	14	14	14	14	14	14	14	11	14	14	14					
Total Liabilities	\$124	\$163	\$188	\$232	\$254	\$325	\$378	\$449	\$491	\$549	\$584	\$644	\$657	\$698	\$678	\$232	\$449	\$644	\$188	\$378	\$584	\$678					
Shareholders' Equity																											
Preferred shares																0	0	0	0	0	0	0					
Ordinary shares	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0						
Additional paid-in-capital	802	1224	1627	1672	1690	1734	1785	1841	1901	1958	2010	2058	2109	2160	2213	1672	1841	2058	1627	1785	2010	2213					
Accumulated other comprehensive loss	(0)	(1)	2	2	(216)	(203)	(195)	(186)	(183)	(184)	(184)	(174)	(171)	(164)	(158)	2	(186)	(174)	2	(195)	(184)	(158)					
Accumulated deficit	(20)	63	220	389	569	808	1117	1512	1956	2468	3062	3702	4339	4991	5648	389	1512	3702	220	1117	3062	5648					
Total Shareholders' Equity	\$781	\$1,286	\$1,849	\$2,064	\$2,043	\$2,339	\$2,707	\$3,168	\$3,675	\$4,241	\$4,889	\$5,586	\$6,277	\$6,987	\$7,702	\$2,064	\$3,168	\$5,586	\$1,849	\$2,707	\$4,889	\$7,702					
Total Liabilities & Equity	\$905	\$1,449	\$2,037	\$2,296	\$2,297	\$2,664	\$3,084	\$3,617	\$4,166	\$4,790	\$5,473	\$6,230	\$6,934	\$7,685	\$8,380	\$2,296	\$3,617	\$6,230	\$2,037	\$3,084	\$5,473	\$8,380					

Source: Company Data, Evercore ISI Research

CRDO Cash Flow Statement

Figure 47: CRDO Cash Flow Statement

Credo Technology Group Holding Ltd				FY2026				FY2027E				FY2028E				FY2029E										
	Aug-25	Nov-25	Feb-26	May-26	Aug-26	Nov-26	Feb-27	May-27	Aug-27	Nov-27	Feb-28	May-28	Aug-28	Nov-28	Feb-29		FY	FY	FY	CY	CY	CY	CY			
\$ in millions	1Q	2Q	3Q	4Q	1QE	2QE	3QE	4QE	1QE	2QE	3QE	4QE	1QE	2QE	3QE		2026	2027E	2028E	2025	2026E	2027E	2028E			
CASH FLOW STATEMENT																										
Cash Flow from Operations																										
Net Income (Loss)	\$63.4	\$82.6	\$157.1	\$169.1	\$179.8	\$238.6	\$309.0	\$395.5	\$444.4	\$511.3	\$594.3	\$639.8	\$637.0	\$651.7	\$657.0		\$472.3	\$1,122.9	\$2,189.9	\$339.8	\$896.5	\$1,945.6	\$2,585.6			
Depreciation & amortization	5.5	6.6	6.8	6.8	6.8	6.8	6.8	6.8	6.8	6.8	6.8	6.8	6.8	6.8	6.8	6.8	25.5	27.0	27.0	26.4	27.0	27.0	27.0			
Share-based compensation	35.5	45.3	52.2	50.1	49.1	55.9	61.0	64.6	61.9	57.6	52.4	55.9	56.6	57.4	57.5	183.0	230.6	227.8	160.8	216.0	236.5	227.5				
Warrant contra revenues	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0				
Write-downs for excess/obsolete inventory	2.0	6.1	3.7	2.5												14.4	0.0	0.0	15.4	2.5	0.0	0.0				
Impairment of assets																0.0	0.0	0.0	0.9	0.0	0.0	0.0				
Changes in operating assets/liabs	(52.1)	(79.0)	(53.6)	(46.2)	(26.2)	(80.9)	(105.5)	(91.0)	(65.8)	(52.2)	(101.0)	(38.9)	(10.2)	15.7	(26.5)	(230.9)	(303.6)	(257.9)	(203.4)	(258.8)	(310.0)	(60.0)				
Accounts receivable	(19.1)	(64.0)	2.0	9.8	(18.3)	(65.4)	(70.9)	(78.0)	(49.8)	(52.9)	(65.5)	(43.1)	(8.0)	(9.9)	(0.5)	(71.2)	(232.7)	(211.2)	(86.1)	(144.8)	(246.2)	(61.6)				
Inventories	(27.5)	(38.9)	(61.5)	(42.9)	(29.6)	(86.8)	(87.5)	(84.3)	(57.7)	(57.4)	(70.8)	(55.7)	(14.5)	(15.9)	(6.0)	(170.8)	(288.2)	(241.6)	(166.7)	(246.7)	(270.2)	(92.0)				
Other current	3.9	(5.9)	(1.8)	(39.6)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	(43.3)	0.0	0.0	0.0	(4.2)	(39.6)	0.0				
Other non-current	0.5	1.2	(22.5)	(5.5)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	(26.3)	0.0	0.0	(20.4)	(5.5)	0.0	0.0				
Accounts payable	(9.0)	14.6	30.7	13.5	12.7	37.1	37.4	36.1	24.7	24.6	30.3	23.8	6.2	6.8	2.6	49.8	123.3	103.4	55.9	100.8	115.6	39.4				
Accrued compensation and other liabilities	(1.0)	13.9	(0.4)	18.4	9.1	34.1	15.5	35.2	17.0	33.5	5.0	36.0	6.2	34.7	(22.6)	30.9	93.9	91.6	18.0	77.0	90.8	54.2				
Net Cash From Operations	\$54.2	\$61.7	\$166.2	\$182.2	\$209.4	\$220.3	\$271.3	\$375.8	\$447.3	\$523.4	\$552.5	\$663.6	\$690.2	\$731.6	\$694.7	\$464.3	\$1,076.9	\$2,186.8	\$339.9	\$883.3	\$1,899.1	\$2,780.1				
Cash Flow from Investing																										
Purchases of PP&E	(2.8)	(23.2)	(26.5)	(4.8)	(23.5)	(29.6)	(36.2)	(43.5)	(48.2)	(53.1)	(59.2)	(63.2)	(64.0)	(64.9)	(65.0)	(57.3)	(132.9)	(223.7)	(56.2)	(94.1)	(204.0)	(257.1)				
Purchases of investments	(115.0)	0.0	0.0	(197.3)												(312.3)	0.0	0.0	(260.0)	(197.3)	0.0	0.0				
Sale of investments	50.0	14.0	165.0													229.0	0.0	0.0	259.0	0.0	0.0	0.0				
Business acquisition, net		(82.6)	0.0		(750.0)											(82.6)	(750.0)	0.0	(82.6)	(750.0)	0.0	0.0				
Net Cash From Investing	(\$67.8)	(\$91.7)	\$138.5	(\$202.1)	(\$773.5)	(\$29.6)	(\$36.2)	(\$43.5)	(\$48.2)	(\$53.1)	(\$59.2)	(\$63.2)	(\$64.0)	(\$64.9)	(\$65.0)	(\$223.2)	(\$882.9)	(\$223.7)	(\$139.7)	(\$1,041.4)	(\$204.0)	(\$257.1)				
Cash Flow from Financing																										
Issuance of preferred stock																0.0	0.0	0.0	0.0	0.0	0.0	0.0				
Issuance of common stock		384.6	351.7	(26.7)												709.6	0.0	0.0	736.3	(26.7)	0.0	0.0				
IPO offering costs																0.0	0.0	0.0	0.0	0.0	0.0	0.0				
Payments on technology licenses	(3.9)	(0.9)	(0.9)	(3.9)	(0.9)	(0.9)	(3.9)	(0.9)	(0.9)	(3.9)	(0.9)	(0.9)	(3.9)	(0.9)	(0.9)	(9.6)	(6.6)	(6.6)	(6.6)	(9.6)	(6.6)	(6.6)				
Proceeds from employee incentives	4.6	0.5	1.4													6.6	0.0	0.0	7.6	0.0	0.0	0.0				
Tax withheld for RSU settlement	(3.7)	(6.3)	(4.2)	(5.0)	(5.0)	(5.0)	(5.0)	(5.0)	(5.0)	(5.0)	(5.0)	(5.0)	(5.0)	(5.0)	(5.0)	(19.3)	(20.0)	(20.0)	(16.3)	(20.0)	(20.0)	(20.0)				
Repurchase of common stock																0.0	0.0	0.0	0.0	0.0	0.0	0.0				
Net Cash From Financing	(\$3.0)	\$377.9	\$348.0	(\$35.6)	(\$5.9)	(\$5.9)	(\$8.9)	(\$5.9)	(\$5.9)	(\$8.9)	(\$5.9)	(\$5.9)	(\$8.9)	(\$5.9)	(\$5.9)	\$687.3	(\$26.6)	(\$26.6)	\$721.0	(\$56.4)	(\$26.6)	(\$26.6)				
Cash and Cash Eqv at Beginning	236.3	219.6	567.6	1220.5	1165.0	595.0	779.7	1005.9	1332.3	1725.6	2187.0	2674.4	3268.8	3886.1	4546.9	236.3	1165.0	1332.3	299.2	1220.5	1005.9	2674.4				
FX Impact	(0.1)	0.1	0.2													0.2	0.0	0.0	0.1	0.0	0.0	0.0				
Net increase in cash and cash eqv.	(16.6)	347.8	652.7	(55.5)	(570.0)	184.8	226.2	326.4	393.3	461.4	487.4	594.4	617.3	660.8	623.8	928.4	167.4	1936.5	921.1	(214.5)	1668.4	2496.3				
Cash and Cash Eqv at End	\$219.6	\$567.6	\$1,220.5	\$1,165.0	\$595.0	\$779.7	\$1,005.9	\$1,332.3	\$1,725.6	\$2,187.0	\$2,674.4	\$3,268.8	\$3,886.1	\$4,546.9	\$5,170.7	\$1,165.0	\$1,332.3	\$3,268.8	\$1,220.5	\$1,005.9	\$2,674.4	\$5,170.7				
Check	-	-	-	0.00																						
Cash Flow from Operations	\$54.2	\$61.7	\$166.2	\$182.2	\$209.4	\$220.3	\$271.3	\$375.8	\$447.3	\$523.4	\$552.5	\$663.6	\$690.2	\$731.6	\$694.7	\$464.3	\$1,076.9	\$2,186.8	\$339.9	\$883.3	\$1,899.1	\$2,780.1				
Capex	(2.8)	(23.2)	(26.5)	(4.8)	(23.5)	(29.6)	(36.2)	(43.5)	(48.2)	(53.1)	(59.2)	(63.2)	(64.0)	(64.9)	(65.0)	(57.3)	(132.9)	(223.7)	(56.2)	(94.1)	(204.0)	(257.1)				
Free Cash Flow	\$51.3	\$38.5	\$139.7	\$177.5	\$185.9	\$190.7	\$235.1	\$332.3	\$399.2	\$470.3	\$493.3	\$600.4	\$626.2	\$666.7	\$629.7	\$407.0	\$944.0	\$1,963.1	\$283.7	\$789.2	\$1,695.1	\$2,523.0				
FCF Per Share	\$0.27	\$0.20	\$0.72	\$0.91	\$0.93	\$0.95	\$1.16	\$1.62	\$1.93	\$2.25	\$2.34	\$2.82	\$2.91	\$3.07	\$2.88	\$2.11	\$4.67	\$9.35	\$1.49	\$3.95	\$8.15	\$11.68				
FCF Margins	23.0%	14.4%	34.3%	40.6%	39.6%	32.2%	32.4%	38.2%	41.4%	44.3%	41.7%	47.5%	48.9%	51.3%	48.5%	30.5%	35.5%	43.9%	26.6%	35.5%	41.5%	49.1%				
FCF Return (%)																										

Source: Company Data, Evercore ISI Research

VALUATION METHODOLOGY

Our \$325 PT is based on 30x our 2028 EPS of \$13.02 discounted back 2 years by 10%. This implies a PEG ratio (30x, 70% 3yr EPS CAGR 2025-2028) of 0.4x.

RISKS

Faster than anticipated decline in copper-based pluggable interconnections within the datacenter

Yield issues ramping optical transceivers with key contract manufacturing partners

Inability to secure additional design wins in optical + new product areas

COMPANIES UNDER COVERAGE BY AUTHOR

Symbol	Company	Rating	Price (2026-18-06)	Evercore ISI Target
ADI	Analog Devices, Inc.	Outperform	\$414.45	\$474.00
ALAB	Astera Labs, Inc	Outperform	\$374.68	\$297.00
ALGM	Allegro MicroSystems, Inc	Outperform	\$53.98	\$53.00
AMAT	Applied Materials, Inc.	Outperform	\$592.92	\$515.00
AMD	Advanced Micro Devices, Inc	Outperform	\$512.48	\$579.00
ARM	Arm Holdings plc	Outperform	\$418.88	\$326.00
ASML-NL	ASML Holding NV	Outperform	€1656.40	€1430.00
AVGO	Broadcom Inc.	Outperform	\$392.90	\$582.00
CRDO	Credo Technology Group Holding Ltd	Outperform	\$249.33	\$325.00
GFS	GlobalFoundries Inc	Outperform	\$80.64	\$85.00
INTC	Intel Corporation	Outperform	\$121.10	\$111.00
LRCX	Lam Research Corporation	Outperform	\$374.18	\$300.00
MCHP	Microchip Technology Inc	Outperform	\$94.11	\$117.00
MRVL	Marvell Technology Group Ltd	Outperform	\$289.54	\$251.00
MTSI	MACOM Technology Solutions Holdings, Inc	Outperform	\$367.11	\$427.00
NVDA	NVIDIA Corp.	Outperform	\$204.65	\$413.00
NXPI	NXP Semiconductors NV	Outperform	\$298.20	\$320.00
ON	ON Semiconductor Corp	Outperform	\$112.92	\$121.00
PI	Impinj, Inc.	In Line	\$123.62	\$144.00
QBTS	D-Wave Quantum Inc.	Outperform	\$22.92	\$37.00
QCOM	QUALCOMM Inc.	In Line	\$212.97	\$179.00
RMBS	Rambus Inc	Outperform	\$130.10	\$172.00
TXN	Texas Instruments Inc.	Outperform	\$301.88	\$316.00

TIMESTAMP**(Article 3(1)e and Article 7 of MAR)**

Time of dissemination: June 22 2026 6:00 AM ET

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In Line- the total forecasted return is expected to be in line with the expected total return of the analyst's coverage sector.

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Evercore ISI rating (as of 06/18/2026)

Coverage Universe

Ratings	Count	Pct.
Buy	478	61
Hold	276	35
Sell	12	2
Coverage Suspended	8	1
Rating Suspended	13	2

Investment Banking Services | Past 12 Months

Ratings	Count	Pct.
Buy	89	19
Hold	21	8
Sell	0	0
Coverage Suspended	2	25
Rating Suspended	6	46

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Price Charts**Credo Technology Group Holding Ltd Rating History as of 06/18/2026****Ratings Key**

B	Buy	OP	Outperform	L	Long	CS	Coverage Suspended
H	Hold	IL	In Line	NP	No Position	RS	Rating Suspended
S	Sell	UP	Underperform	S	Short		

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